Gaming

Gaming Sector August reporting season preview

This report is aimed at being a recurring report that will appear ahead of each reporting season. The purpose of the report is relatively shorter-term in nature, and as such looks at trading ideas more than investing ideas. As such we may feature negative commentary on a company we have a Positive recommendation on or vice versa. In general, we do not make major (only minor) earnings forecast changes and no recommendation changes.

In 2024 the gaming sector as a whole has had really mixed outcomes, with wagering and casinos seeing impacts from consumer spending weakness, but the slot providers having bumper years driven by great content releases and more US exposure where the consumer gambling appetite has looked more resilient. Lotteries have been right in the middle, with some evidence of weakness in underlying trends (looking at like-for-like entries data) however some good luck leading to large draws has meant a record year anyway.

For the rest of this year we think Aristocrat and Light & Wonder will have the better operating performance within the space again, as we are generally expecting existing trends to hold within the gaming sector, however Tabcorp to us looks like the most interesting of the group despite macro headwinds not turning into tailwinds yet. We believe NSW level playing field is coming and will be valuable, and is not in either consensus forecasts or the share price at all.

Slot Manufacturers

Aristocrat (Positive, $57.48/sh valuation) - Will next report in November. Trends are generally positive across the board vs expectations for Aristocrat. US GGR is still above trend but no longer accelerating. Social Casino and Social Casual both look pretty stable overall, and igaming is still growing at a robust rate despite slow rates of new state regulation. Through this year we believe that Aristocrat releasing its best performing land-based content into igaming is a major catalyst worth backing.

Light & Wonder (Positive, $196/sh valuation) - Thursday 8th August (link). LNW currently getting great 'anticipation' in Eilers surveys, and Dragon Train is seeing strong demand in North America so far. We are a little worried in the very short term about how excited parts of the market are about Dragon Train, however we also believe that the company is about to inflect its gaming ops business towards greater install base growth which will be a positive catalyst for the company overall.

The rest

The Lottery Corp. (Positive, $5.66/sh valuation) - Wednesday 21st August (link) TLC will report its biggest earnings by a reasonable margin in FY24, with very strong luck for Powerball driving big results. Consensus is roughly right on FY24 expectations in our view, but probably too high on FY25, as like-for-like entries trajectory is not presently strong, and FY24 has had a very lucky period which is highly likely not to recur. A potential renewal of the Victorian licence on better terms (for a big cheque) could function as a catalyst later in the year.

Tabcorp (Positive, $1.02/sh valuation) - Wednesday 28th August. There are still some risks around turnover/revenue trajectory for the business, and industry feedback on the Tote is still not healthy. We believe this is factored in to consensus estimates, but we acknowledge it is difficult to get short term data 100% accurate. However, through the remainder of this year we believe NSW level playing field, and a potential tightening of gambling advertising regulations could both serve as positive catalysts for the company.

SkyCity (Neutral, $1.57/sh valuation) - Thursday 22nd August (link). SkyCity has recently revised guidance, settling its outstanding issue with the DIA via agreeing to a 5 day shutdown of the gambling areas at SkyCity Auckland. Macro still looks more like a headwind than a tailwind, however we are now getting to the end of the really rough ride through regulatory issues, with only one outstanding issue really left in Adelaide with Consumer and Business Services.

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Aristocrat (Positive, $57.48/sh valuation) and Light & Wonder (Positive, $196/sh valuation)

In this section we run through shorter term industry data, news flow and feedback.

At a higher level, macro is looking flatter instead of growing strongly, however North American GGR is still above trend without turning downward. In addition, both companies continue to do well on the new game front (with LNW having a big step up in anticipated games recently).

Social Casino has started looking moderately weaker, and we have made very small downgrades to both companies' Social Casino revenue forecasts in the shorter term as a result.

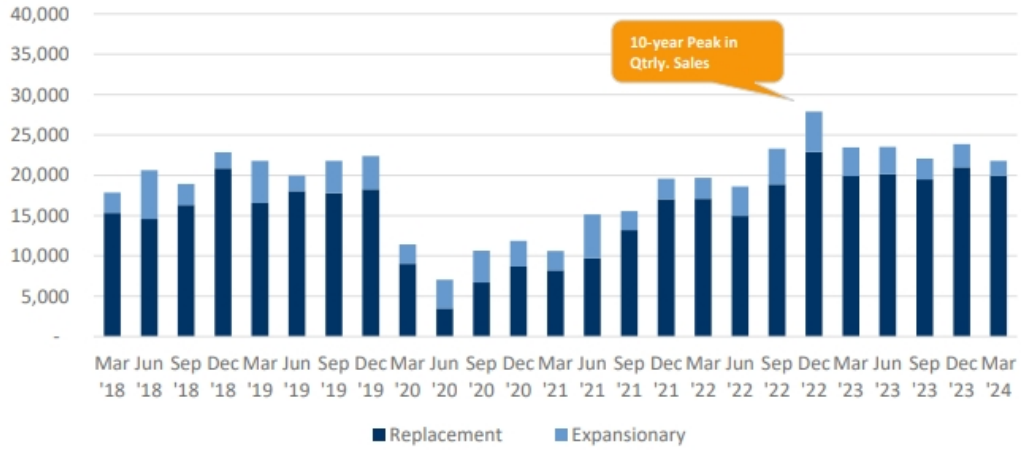
Social Casual for Aristocrat is looking like it is holding roughly flat so far this year.

Land-Based Commentary & Trends

The North American (NA) outright sales cycle has been trending down since 4Q22. This is more a return-to-normal rather than a structural decline, as the covid lockdowns caused a backlog of purchase orders. However, total shipments now appear to be stabilizing as they approach pre-pandemic levels, with supply chain concerns now a thing of the past. Industry feedback suggests that adjacent markets (HHR, VLT, Route, COAM) have been strong contributors, particularly for expansionary units in CY24. This trend for adjacencies is expected to continue.

Overseas capex cycles tend to be particularly lumpy. Asia has been particularly strong in recent quarters led by the Philippines, whose leadership has stated targets of doubling GGR over the next five years. Macau is going through regulatory churn at the moment with new gaming machine standards, which will require a significant number of existing machines to be replaced.

Exhibit 1 - Total Quarterly North America Slot Shipments



Source: Eilers & Krejcik

Eilers & Krejcik (Eilers) recent North American Slot & Table Forecast report saw minimal changes to their overall outright sales forecast. However, they did reallocate their forecast more towards replacement units. This shift, while fairly small, historically favours incumbent operators with existing market share.

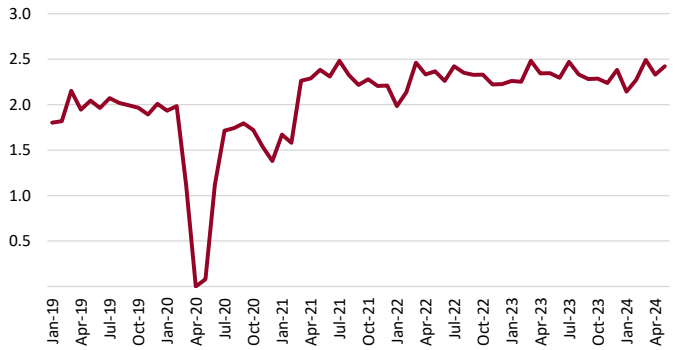
Exhibit 2 - Eilers & Krejcik North America Outright Sales Forecast Revisions

	New Estimates			Previous Estimates			Change		
Outright Sales	CY24	CY25	CY26	CY24	CY25	CY26	CY24	CY25	CY26
Replacements	80,314	79,532	81,153	78,393	78,460	79,754	+1,139	+1,854	+1,399
New & Expansionary	11,907	11,292	10,714	13,052	13,076	12,293	-1,145	-1,784	-1,579
Total	91,439	91,606	91,867	91,445	91,536	92,047	-6	+70	-180

Source: Eilers & Krejcik, E&P Estimates

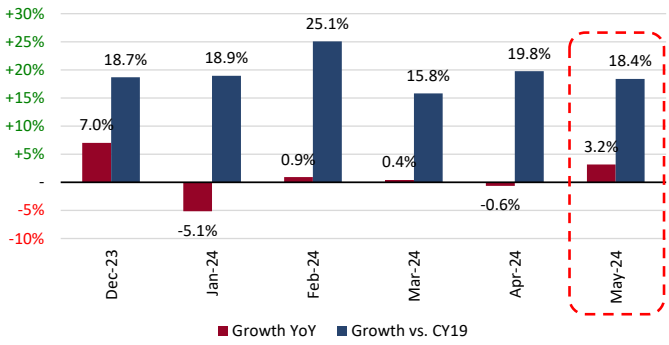
US Slot GGR remains elevated above pre-covid levels. However, spend appears to have stopped growing meaningfully, with yoy comps essentially flat. Through CY23, several major casino operators began focusing on their higher-spending customer segments and narrowing marketing/promotional spend, which we believe might be an underlying factor.

Exhibit 3 - US Slot GGR (US$bn.)



Source: UNLV, various state gaming bodies, E&P Estimates. Note: States include CO ,CT ,DE, IN ,IA ,KS ,ME ,MY ,MA ,MS ,MO ,NE ,NV ,NJ ,NM ,PA ,RI ,SD.

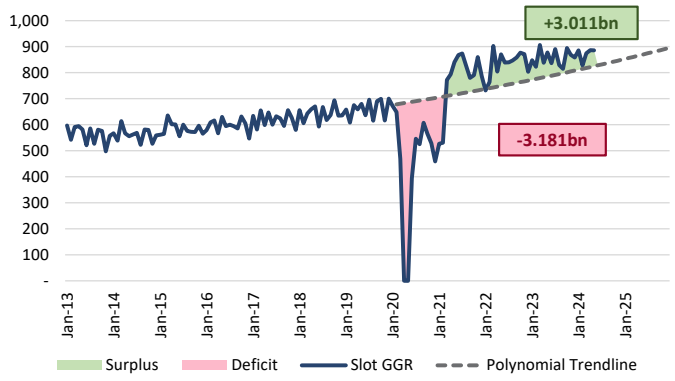
Exhibit 4 - US Slot GGR growth rates



Source: UNLV, various state gaming bodies, E&P Estimates. Note: States include CO ,CT ,DE, IN ,IA ,KS ,ME ,MY ,MA ,MS ,MO ,NE ,NV ,NJ ,NM ,PA ,RI ,SD.

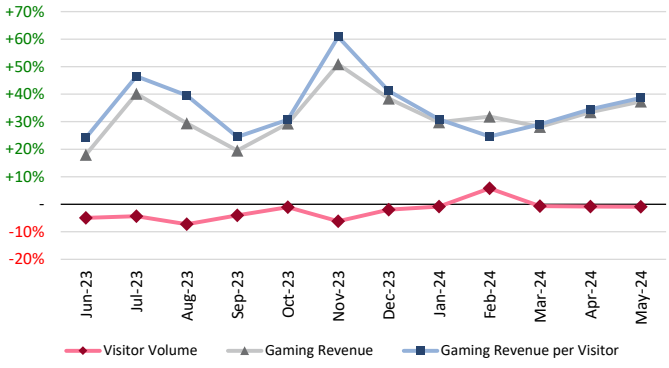
In Nevada, GGR remains above the pre-covid polynomial trendline. However, the trendline appears to be approaching the current monthly GGR. The cumulative net surplus GGR spend vs. the trendline since the lockdowns is also approaching the corresponding deficit accumulated during the lockdowns. GGR continues to be driven by spend per visitor, rather than a growth in visitation itself, as eleven of the past twelve months had lower Las Vegas visitors than their seasonal CY19 comparison.

Exhibit 5 - Nevada Slot GGR (US$m) - Surplus/Deficit based on pre-covid Polynomial trendline



Source: UNLV, various state gaming bodies, E&P Estimates

Exhibit 6 - Las Vegas Visitation and Gaming Revenue growth rates vs. CY19



Source: LVCVA, E&P Estimates

Game Performance (North America)

Below we detail some key new game launches over the past year and their performance.

Aristocrat

- NFL is no longer listed on the Top 25 Indexing Premium Leased & WAP games.
  - NFL was last featured in the rankings in February, the last month of the NFL season.
  - Management stated at their recent investor day that NFL remains a key game for casinos to attract new players to the floor. This is particularly focussed around the younger male demographic which is not a traditional key slot player cohort.
  - There was some market concern that casino managers were pulling NFL slots off the floor, and that this might be leading to market share loss overall for Aristocrat. While we believe that installs may have flattened (partly due to the NFL offseason), we do not believe Aristocrat has been asked to replace significant volumes of NFL units with other games.
  - There have been five versions of the NFL game released, with only one version considered an 'underperformer' by the company. Industry feedback has been mixed in this regard.
- Bank Buster has been a great success and appears likely to feature in the Top 25 premium games for the foreseeable future (currently #7 - 2.24x vs zone).

Light and Wonder

- Dragon Train installs are ramping up incredibly fast. In fact, the data suggests it has been the fastest scaling game of the recent launches.
  - However, its performance has declined in recent months (currently #13 - 1.91x vs zone).
  - We note that some nuances impact the data and particularly new games. These include units not being installed for the full month, new games being launched in premium casinos first, Eilers being only a sample of the market, and differing revenue shares by game (i.e. win is reported as net fees).
    - However, we haven't historically seen any games scale up the leaderboards since launching. All ten of the games in the charts below have a lower net win performance vs. their inception.
- Monster (Frankenstein) has performed very well and is expected to be a mainstay on the leaderboards. Whilst it had a slower rollout than NFL or Dragon Train, its performance has been superior (currently #6 - 2.36x vs zone).

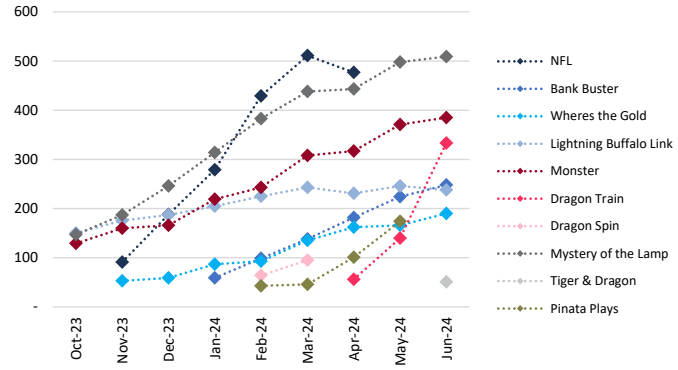
IGT

- Mystery of the Lamp has been IGT's prominent game that was recently launched. Installs have been very steady, but performance has also been slowly wavering (currently #17 - 1.84x vs zone).

Casino Manager Survey

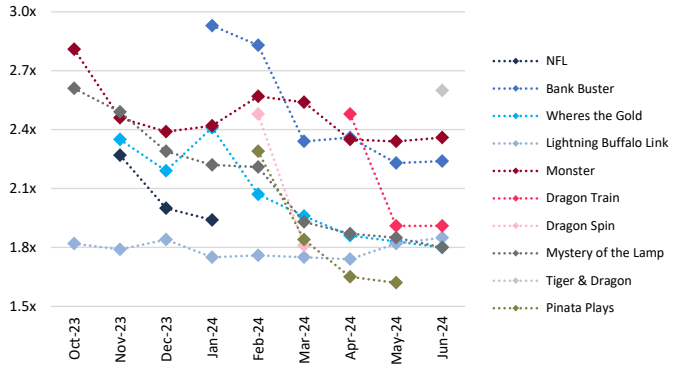
- Eilers survey showed that 93% of respondents require NA premium lease games to earn at least 1.5x house to stay on the floor.

Exhibit 7 - Units Installed - New Games on Eilers Top 25 Indexing Premium Leased & WAP Games



Source: Eilers & Krejcik, E&P Estimates. Note: the figures should be used only as a guide as the survey does not represent entire population.

Exhibit 8 - Net Win vs. Zone - New Games on Eilers Top 25 Indexing Premium Leased & WAP Games



Source: Eilers & Krejcik, E&P Estimates

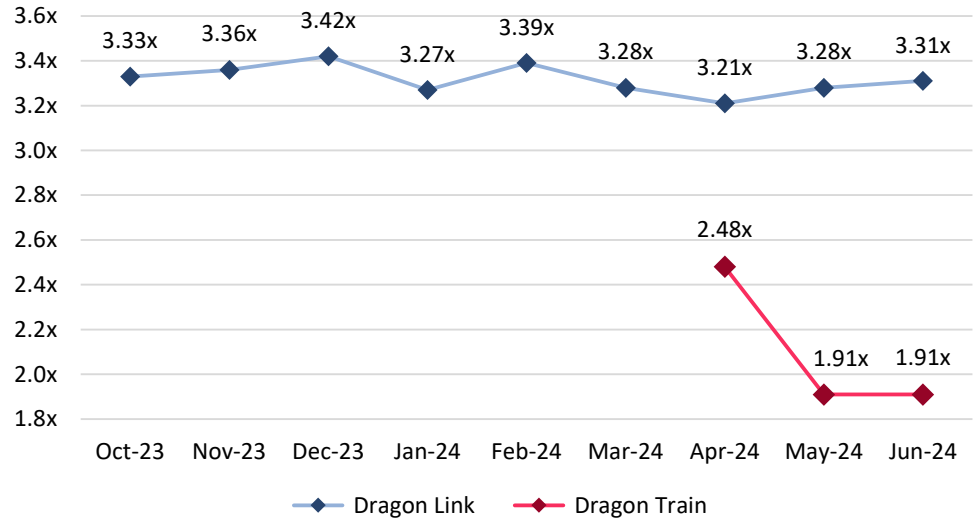
Much of the focus over the last twelve months has been on whether LNW's Dragon Train can challenge Aristocrat's Dragon Link. We initially tested the game late last year and reported our thoughts in Double Dragon. At the time, we believed it was a great game, but did not quite have the same secret sauce as Dragon Link. Dragon Train had superior graphics and some additional hold & spin mechanics vs. Dragon Link. However, the maths and overall feel did not keep us as engaged. That said, we still believed the game would be very successful in its own right. The game also offers diversification and pricing competition benefits for casino floor managers who have become very dependent on Dragon Link.

We also believe that Dragon Train has come at an opportune time for Light and Wonder. They have had 15 consecutive quarters of NA premium installation base growth. At the same time, their overall install growth has only been modest. A large amount of their new installations were replacing their old fleet, meaning their market share stayed relatively flat. We believe they are now in a position to grow, with fewer old games to be replaced. Casino operators typically show the incumbents some favour when it comes to replacing the gaming floor (i.e. decisions aren't purely independent). Consequently, the release of new premium content such as Dragon Train could prove an opportune time to take share from other operators.

Below we have compared the game performance of Dragon Link & Dragon Train:

- Dragon Link did initially have a marginal decline in performance during the first month of Dragon Train launching.
- However, since then Dragon Link has returned to its medium-term trendline, whilst Dragon Train has declined in performance.

Exhibit 9 - Dragon Link vs. Dragon Train - Premium Lease Net win vs. Zone



Source: Eilers & Krejcik, E&P Estimates

In general for LNW, setting the specific mechanics of Dragon Train aside, we believe they are close to the point where their gaming ops business should see more material floor share gains from new successful games. The table below compares on a half-yearly basis the fee per day evolution of LNW vs Aristocrat since 2019.

Exhibit 10 - Aristocrat vs LNW fee per day and install base comparison

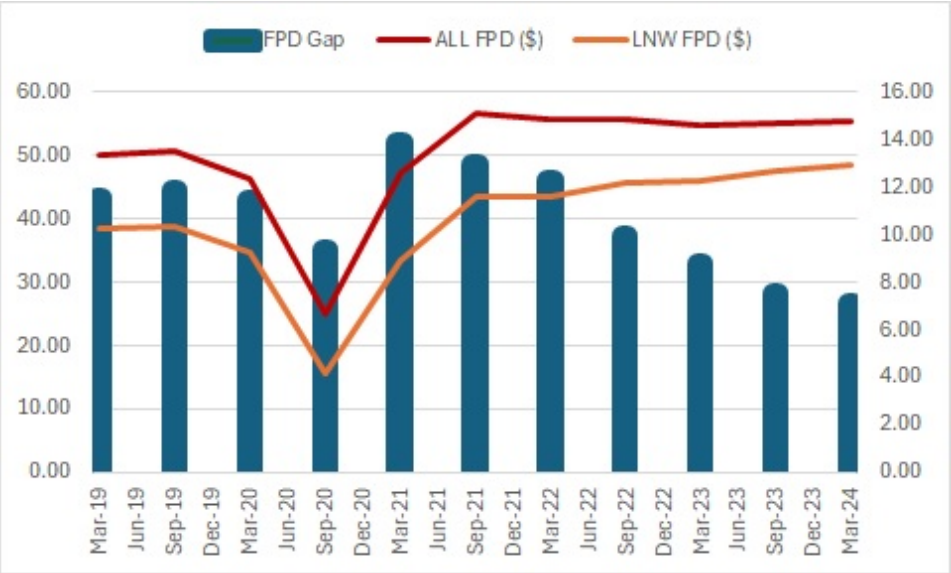
	1H19A Mar-19	2H19A Sep-19	1H20A Mar-20	2H20A Sep-20	1H21A Mar-21	2H21A Sep-21	1H22A Mar-22	2H22A Sep-22	1H23A Mar-23	2H23A Sep-23	1H24E Mar-24
Aristocrat											
Fee per day	50.05	50.76	46.32	25.02	47.29	56.60	55.75	55.74	54.83	55.10	55.50
Install base	46376	48218	48850	49668	50554	54032	56094	59199	61063	64030	67212
Net adds/(losses)		1842	632	818	886	3478	2062	3105	1864	2967	3182
Light & Wonder											
Fee per day	38.46	38.92	34.86	15.68	33.43	43.62	43.45	45.77	46.06	47.56	48.37
Install base	32958	31509	30469	30208	29809	30396	30359	30536	30675	31035	31534
Net adds/(losses)		-1449	-1040	-261	-399	587	-37	177	139	360	499
FPD % of ALL	76.8%	76.7%	75.2%	62.7%	70.7%	77.1%	77.9%	82.1%	84.0%	86.3%	87.1%
FPD Gap ($)	11.59	11.85	11.47	9.34	13.87	12.98	12.31	9.97	8.78	7.55	7.14

Source: Company Reports, E&Pe

We can see in this table that from 1H19 to 1H22 both Aristocrat and LNW appear to have seen a very similar trajectory on fee per day, with 10%+ gains driven by return to the gaming floor by players post-COVID, and associated inflationary benefits. From 2H22 onwards the companies have seen divergence, with Aristocrat benefiting much more on the install base but a relatively flat fee per day, whereas LNW has seen much tamer gains on install base but added another 10%+ to fee per day.

The below chart puts some of this data into a visual format.

Exhibit 11 - Aristocrat vs LNW fee per day (left axis) and gap (right axis)



Source: Company Reports

We believe this dynamic for LNW is driven by them refurbishing their install base with newer games replacing older games on the floor (coming from improvements in games on offer). Given that LNW doesn't currently possess a game quite as high performing as Dragon Link, we believe that hitting 87% of the ALL fee per day represents their install base having a relatively similar skew to latest and most modern/high performing games, and the end of replacements/substitutions being the primary growth driver for LNW's gaming ops business.

Most Anticipated Games

While we were somewhat more reserved in our expectations of Dragon Train in Double Dragon, we have always been highly complimentary of LNW's business transformation that has generated a portfolio of quality premium lease games. In Eilers 1Q24 Slot Survey (released in May), LNW took the #1 spot for the portfolio of most anticipated games, with their games receiving 57% of the cumulative votes. Aristocrat held the number one spot for multiple years, with the previous 12-months aided by anticipation for NFL slots. Amongst the most anticipated cabinets, there is significant diversification, as no individual cabinet earned more than 14% of the votes.

Below we briefly detail the top anticipated games.

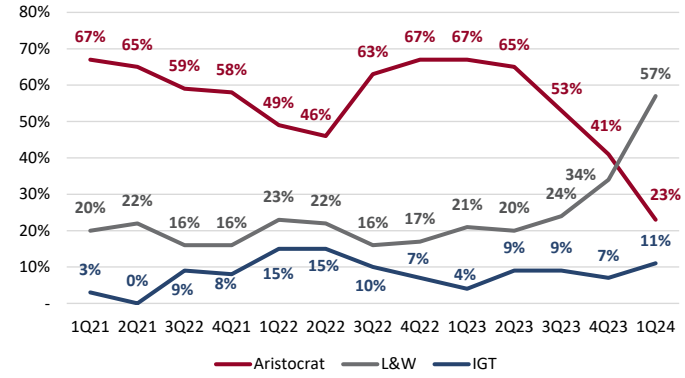
- **Dragon Train (LNW)** - We previously described above as LNW's challenger to Aristocrat's Dragon Link. Feature-rich and includes a new hold & spin mechanic.
- **Squid Games (LNW)** - Based on the hit Netflix show. The game is being produced by Ted Hase's studio, which produced our personal favorite game, Frankenstein.
- **Jackpot Carnival Extreme (ALL)** - Follow-up game of 'Jackpot Carnival'.
- **Devil's Lock All-In (Bluberi)** - Follow-up game of 'Devil's Lock' from a rising mid-tier supplier. The original game was primarily an outright sales Core game that was performing well (#14 on top core parent themes, 1.36x win vs zone).
- **Huff N' Even More Puff (LNW)** - The third game in the 'Huff N' Puff' series.

Exhibit 12 - Eilers & Krejcik - Most Anticipated Premium Leased Games by Supplier

			% of total Votes				
No.	Supplier	Game	1Q24	4Q23	G2E/3Q	2Q23	1Q23
1	LNW	Dragon Train	36%	6%	8%	4%	7%
2	LNW	Squid Game	12%	14%	8%		
3	Aristocrat	Jackpot Carnival Extreme	9%				
4	Bluberi	Devil's Lock All In	7%	13%	10%		
5	LNW	Huff N' Even More Puff	4%	5%			
5	IGT	Whitney Houston	4%		5%		
7	Aristocrat	NFL	3%	28%	46%	38%	26%
7	Aristocrat	Dragon Link	3%				
7	IGT	Mystery of the Lamp	3%	3%	2%	3%	

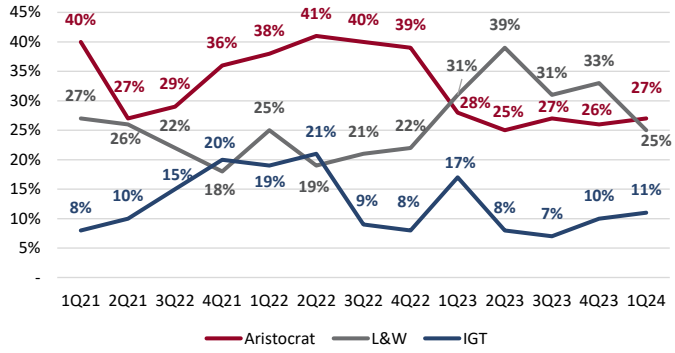
Source: Eilers & Krejcik, E&P Estimates.

Exhibit 13 - Eilers & Krejcik - Most Anticipated Premium Leased Games by Supplier



Source: Eilers & Krejcik, E&P Estimates. Note: Percentages are cumulative of all games from each supplier that received votes.

Exhibit 14 - Eilers & Krejcik - Most Anticipated Core Cabinets by Supplier



Source: Eilers & Krejcik, E&P Estimates. Note: Percentages are cumulative of all cabinets from each supplier that received votes.

Social Casual Commentary

RAID has recently announced the launch of a new area in the game that enables Clan Seige battles. This feature is in its first cycle (in the "prep" phase before clan vs clan battles) but is a mainstay feature of games such as Clash of Clans that have had long term success (for Clash of Clans the equivalent is the Clan Capital).

The game mode enables players to both defend their own fortress from opposing clan attacks, as well as attack another clan's fortress. The winning clan gets certain rewards at the end of the Seige round.

Historically RAID had introduced a clan vs clan feature that involves players competing on activity volume rather than battling directly head to head. While the original clan vs clan content has seen good engagement, overall the broader RAID community had been waiting for a long time for gameplay that is more akin to what has just been released. We would expect that this will lift engagement for RAID again.

Exhibit 15 - RAID - new Seige mode game play



Source: RAID

This marks the second major addition to overall game-play within the last 12 months, following on from the addition of the Cursed City addition in December.

A few months ago RAID also ran a community activity whereby (via voting) the players voted on and determined the feature set for a new character, Vaultkeeper Wixwell. This is likely not a frequently-repeatable event, but proved to be very popular with all the major influencers and the community at large.

Exhibit 16 - RAID - community-co-designed character Wixwell

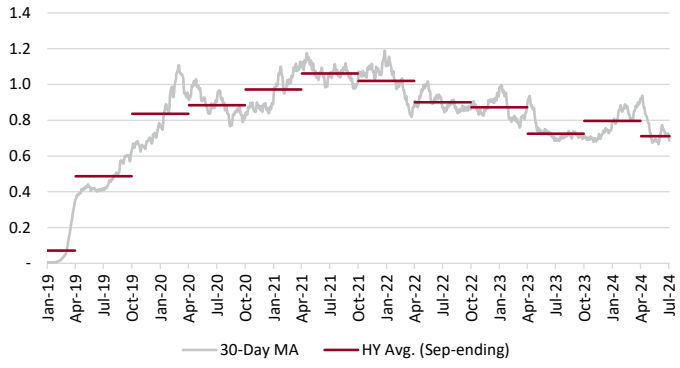


Source: RAID

In general the game presently appears to be in a healthy state, with good engagement levels, regular well-received content releases, and some recent efforts on quality of life feature updates that have ended up with good re-balances to gameplay.

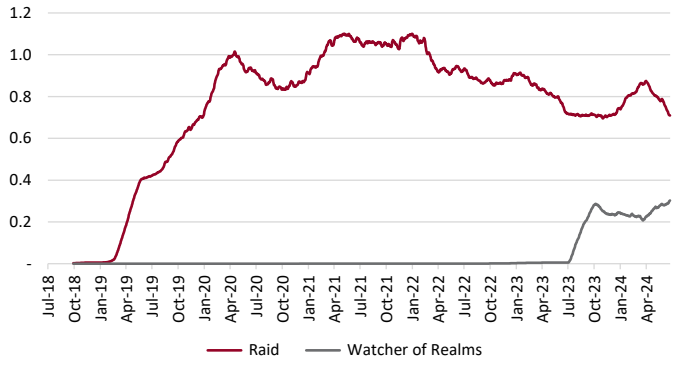
In terms of revenue generation, RAID remains well below peak levels in app store channel revenues, however we note that app related data excludes the Plarium Play direct revenues. As such it generally looks like RAID is performing roughly flat half over half on the revenue front when platform growth is considered.

Exhibit 17 - Raid Shadow Legends Average Revenue per Day (US$m)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

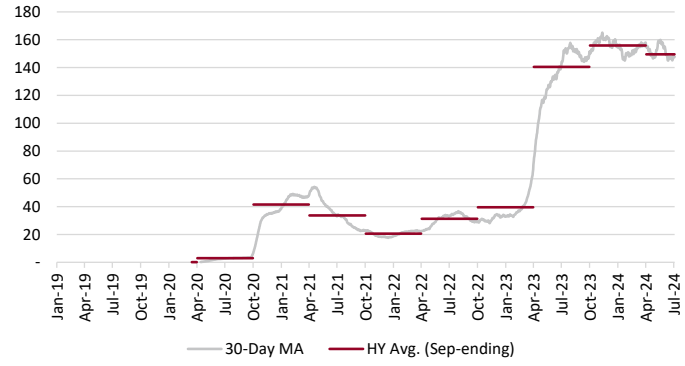
Exhibit 18 - Raid Shadow Legends & Watcher of Realms Average Revenue per Day (US$m) - 90 Day MA



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

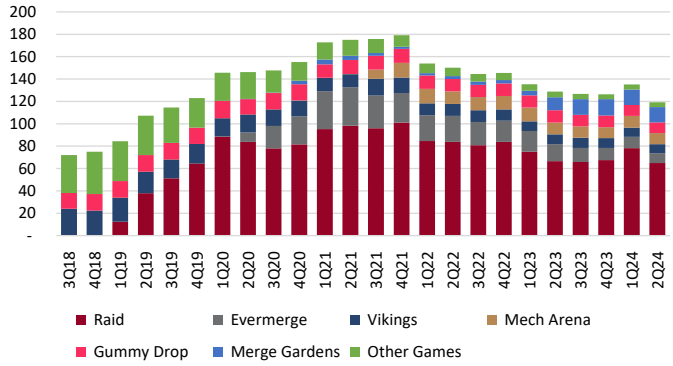
Merge Gardens (match themed game) also appears to have reached a plateau in overall revenue sizing.

Exhibit 19 - Merge Gardens Average Revenue per Day (US $000's)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

Exhibit 20 - Aristocrat Social Casual App Revenue by Game (US$m)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

Social Casino Commentary

Aristocrat recently announced at their investor day the launch of NFL slots as a social casino game via their Product Madness studio. We note the app is not yet available in the Apple app store.

Exhibit 21 - NFL Social Casino App



Source: Company Data

Exhibit 22 - NFL Social Casino App

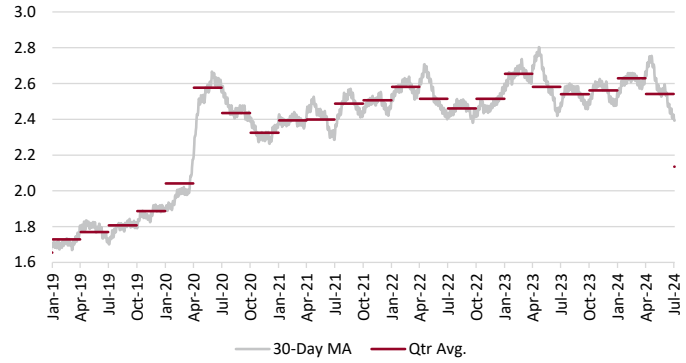


Source: Company Data

Our app intelligence data suggests that both Aristocrat's & LNW's social casino revenue declined in the June quarter.

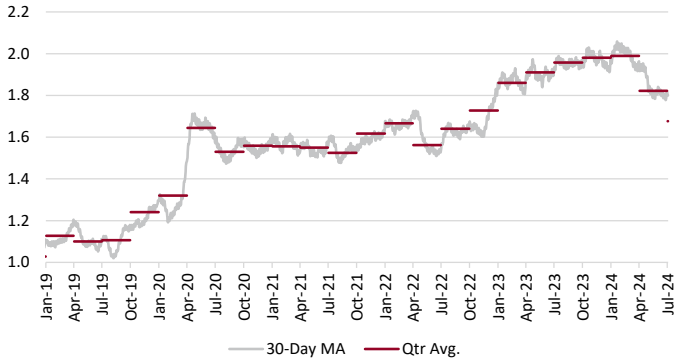
- As we previously mentioned, we recognize that our data does not account for DTC revenues. Adjusting for this with regards to LNW and their new DTC platform, we believe they have performed similarly to Aristocrat in overall Social Casino revenues quarter over quarter despite a steeper fall in the chart below for SciPlay, given some of this will be revenue migrating to DTC.
- For LNW, their newly launched DTC platform accounted for 6% of SciPlay's 1Q24 revenue.

Exhibit 23 - Pixel United Social Casino Average Revenue per Day (US$m)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Apps include: Heart of Vegas, Big Fish Casino, Cashman Casino, Lightning Link, Jackpot Magic Slots & Mighty Fu Casino Slots.

Exhibit 24 - SciPlay Social Casino Average Revenue per Day (US$m)

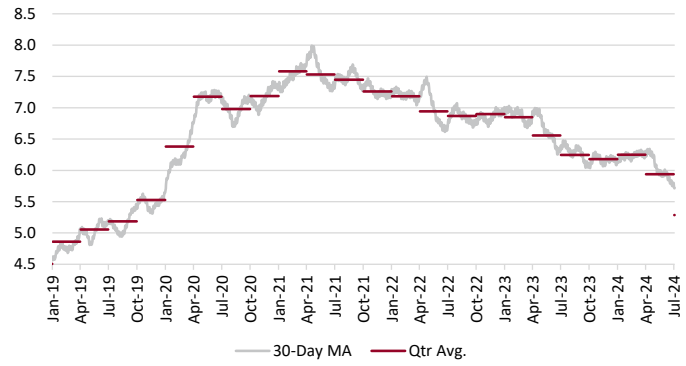


Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Apps include: Jackpot Party, Quick Hit Slots, Gold Fish Slots, Monopoly Slots, 88 Fortune Casino, Hot Shot Casino, Bingo Showdown, Blazing 7's Casino.

While Aristocrat & LNW have seen some recent softness, they have both held up comparatively well vs. social casino peers and appear to be gaining share.

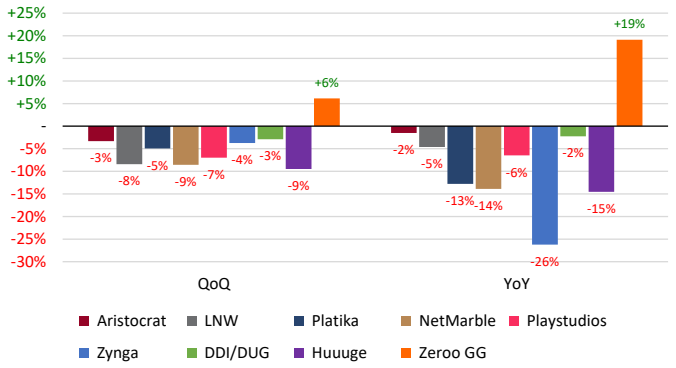
- This is particularly noticeable when compared to the COVID-lockdown peaks.
- The only operator to grow qoq or yoy was small-to-mid size player Zeroo GG (now 7% market share).

Exhibit 25 - Social Casino Peers Average Revenue per Day (US$m)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Note: peers include Playtika, NetMarble, Playstudios, Zynga, Double Down Interactive, Huuuge & Zeroo GG.

Exhibit 26 - Social Casino Peers Revenue Growth

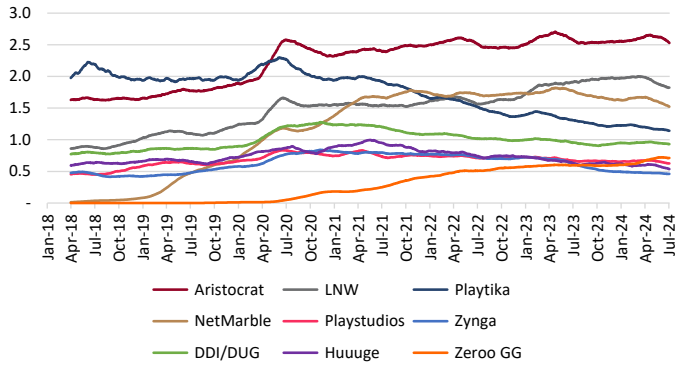


Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

When looking at the long-run market share trends:

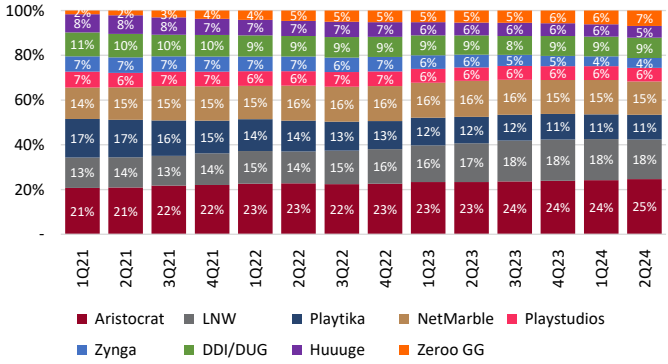
- Aristocrat remains the top operator overall after taking the #1 spot from Playtika during COVID.
- LNW pulled into 2nd in early CY23, taking over from NetMarble.
- Playtika has been the big slider overall. However, we note that they are one of the leaders in building their own DTC platform which this data does not capture. They are currently at 26.3% DTC (1Q24), with feedback indicating that their casino genre is mid-30% DTC. Overall, they would be very close to equal third in market share with NetMarble most likely.

Exhibit 27 - Social Casino Peers Average Revenue per Day (US$m) - 90 Day MA



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

Exhibit 28 - Social Casino Peers Market Share



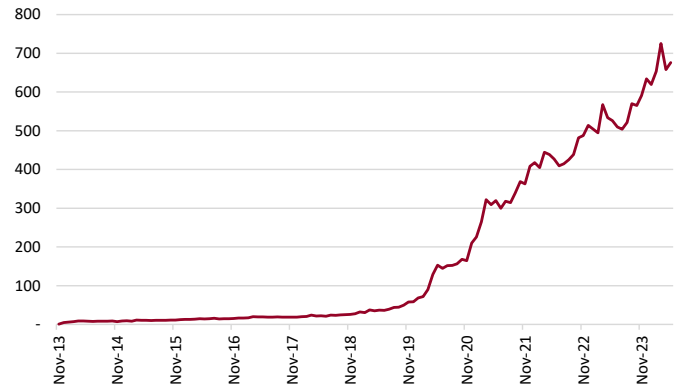
Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

iGaming Commentary

Strong performance per capita but slow rollout:

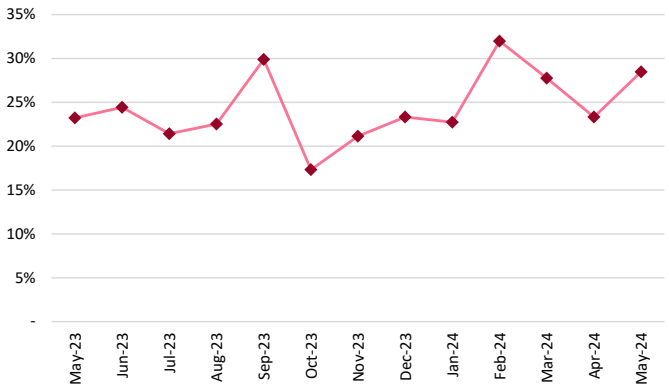
- US iGaming GGR is still growing at >20% yoy despite a slower than expected legalization rollout.
  - Rhode Island is the only state to launch since Oct-21 and is relatively immaterial.
  - Potential bills to legalise and regulate igaming currently in train (but not progressing quickly) in Georgia, Minnesota and Mississippi.
  - Some related activity in Maryland (bill HB 1319) and Maine (who is discussing providing exclusivity to tribal casinos in a similar vein to how the state has handled sports betting)
- Small scale land based casinos are pushing back on legalization.
  - FanDuel & DraftKings' dominance also creates some challenges.

Exhibit 29 - US Online Casino GGR (US$m)



Source: Eilers & Krejcik, various state gaming bodies, E&P Estimates

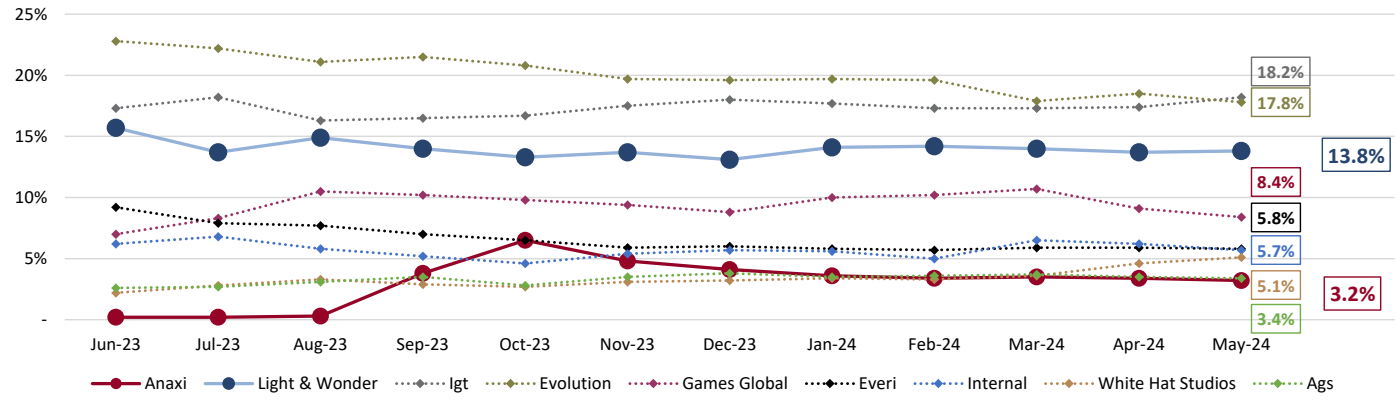
Exhibit 30 - US Online Casino Growth (yoy)



Source: Eilers & Krejcik, various state gaming bodies, E&P Estimates

- Anaxi has fallen to 9th in total US iGaming GGR with 3.2%. This is down from their peak in Oct-23 of 6.5%.
  - The Oct-23 peak was driven by the launch of Buffalo, which achieved 4.6% of the market GGR but has since fallen to 1.68%.
- LNW lost share last October when Anaxi scaled, but have since held share at around 14%.
- IGT (18.2%) recently overtook Evolution as the top supplier (17.8%).
- Still very few of the top-performing land-based games have been migrated online.
  - IGT's Cash Eruption holds the spot of the top performing game with 3.02% of GGR.
  - Cash Eruption does not appear on the most recent version of Eilers top-performing land-based games.

Exhibit 31 - US Online Casino GGR by Supplier



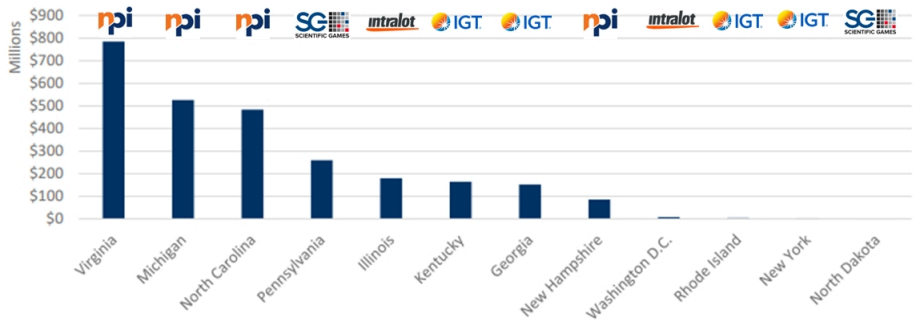
Source: Eilers & Krejcik, E&P Estimates

iLottery Commentary

With the NeoGames acquisition closed, we briefly summarise the market dynamics:

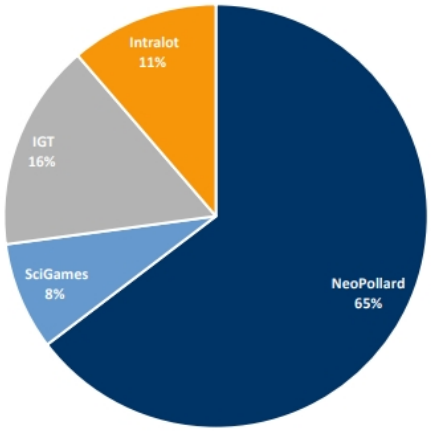
- NeoPollard (a 50:50 JV between NeoGames & Pollard Banknote) is the leading provider of iLottery solutions to US states.
  - They have 65% market share of US GGR in 1Q24 and represent the three largest states by gross sales.
  - The other three players in the market are SciGames, IGT & Intralot.
  - Eilers expect NeoPollard's lead to build over the next year with the launch of an iLottery platform in West Virginia and ramp-up of eInstants in North Carolina.
- NeoGames recently signed a seven-year agreement to deliver a complete iLottery solution in New Hampshire.
  - The contract is the first US deal that NeoGames has done independently of Pollard.
  - We do not expect the contract to be particularly material. New Hampshire is NeoGames' smallest state by some margin and accounts for 3.3% of the GGR in NeoGames-run states.
- H2 Gambling Capital forecast NA iLottery to have a 5-year CAGR of 13% (published Apr-24)

Exhibit 32 - 1Q24 iLottery Gross Sales by State



Source: Eilers & Krejcik, E&P Estimates

Exhibit 33 - 1Q24 iLottery Net Win (GGR) Mkt Share by Platform Provider



Source: Eilers & Krejcik

Changes to Forecasts and Valuations

Aristocrat

We have made the following changes to our forecasts for Aristocrat:

- Slight downward revision to RAID revenue forecasts shorter term;
- Slight upward revision to non-RAID social casual revenue forecasts shorter term;
- Small downward adjustment to Social Casino revenue forecasts.

Changes to our forecasts are summarised in the table below.

		2024	2025	2026
Sales	New	6,753.8	7,315.3	7,834.4
	Old	6,785.3	7,347.3	7,866.9
	% change	-0.5%	-0.4%	-0.4%
EBITDA	New	2,404.6	2,696.1	2,898.0
	Old	2,411.0	2,703.9	2,906.2
	% change	-0.3%	-0.3%	-0.3%
NPAT	New	1,445.3	1,546.2	1,697.1
	Old	1,450.0	1,551.3	1,702.3
	% change	-0.3%	-0.3%	-0.3%
Valuation	New	57.48		
	Old	56.10		
	Change %	+2.5%		

Light & Wonder

We have made the following changes to our forecasts for LNW:

- Negative adjustments short term to social casino revenue forecasts;
- Reframed our go-forward assumptions around how the gaming ops business grows. We had historically modelled more significant reliance on yield growth in gaming ops to drive growth, but instead pivot our modelling to have a bigger focus on growth in install base from next quarter onwards. This has some negative (minor) impacts on forecasts shorter term, but is slightly more positive longer term.

Changes to our forecasts are summarised in the table below.

		FY24	FY25	FY26
Revenue	New	3,126	3,347	3,613
	Old	3,139	3,369	3,623
	% Change	-0.4%	-0.7%	-0.3%
AEBITDA	New	1,187	1,325	1,511
	Old	1,200	1,347	1,521
	% Change	-1.1%	-1.6%	-0.7%
EBITDA	New	1,041	1,157	1,343
	Old	1,054	1,179	1,353
	% Change	-1.2%	-1.9%	-0.8%
AEBIT	New	799	942	1,151
	Old	811	964	1,161
	% Change	-1.6%	-2.2%	-0.8%
Stat. NPAT	New	299	407	590
	Old	309	425	599
	% Change	-3.3%	-4.1%	-1.4%

Our price target on LNW increases to $196/sh (from $194/sh) on the back of model roll forward and earnings changes. Our price target is constrained by a 3yr-forward P/E ratio of 15x.

Our unconstrained DCF of LNW is $272/sh, which has increased from $261/sh driven by changes to our forecasts as well as some model roll-forward impacts.

The Lottery Corporation

Positive recommendation, $5.66/sh valuation

We previously explored in our initiation note Burger with the Lott that much of the volatility in TLC's revenue will be derived from Powerball and Oz Lotto's performance, as those are the large games that are subject to randomness. As it turns out, FY24 was a very lucky year for TLC. Both Powerball & Oz Lotto significantly outperformed our theoretical 50th percentile estimates, and we expect TLC to report record lotteries turnover by some margin. While maintaining this momentum is theoretically possible, we estimate that the vast majority of scenarios for FY25 would observe a decline in turnover.

Other key ongoing issues heading into the FY24 result include:

- Underlying consumer demand, which we typically measure by like-for-like jackpot (LFL) entries.
- The performance of Weekday Windfall & other potential game-change announcements.
- Digital migration
- The opex run-rate post the Tabcorp demerger separation costs.
- The potential early extension of the Victorian Lottery Licence (set to expire in 2028).
- The impact of overseas retailers such as The Lottery Office.

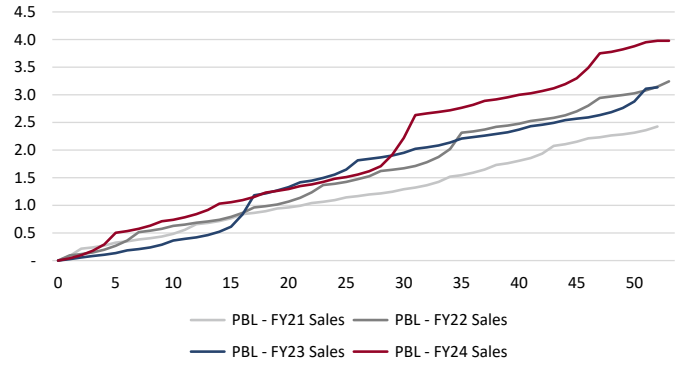
Powerball

Powerball generated record turnover in FY24 that was +19.8% higher than the previous record set in FY22. 2H24 in particular was the standout with 5x $100m+ jackpots (only 16 in history). The highlight was the $200m jackpot in February, with ~305m entries. We estimate that the probability of reaching the $200m jackpot was only 1.68%, despite being aided by management accelerating the sequence. Using our Monte Carlo simulator that we first explored in Burger with the Lott, we estimate that Powerball was in the 86th percentile for FY24 and the 95th percentile for 2H24 alone.

For context, if you replace just the $200m jackpot with a beginning $4m jackpot, the total FY24 turnover would be ~-9.6% lower or in the 66th percentile. Furthermore, the $200m jackpot offered additional benefits beyond direct sales including:

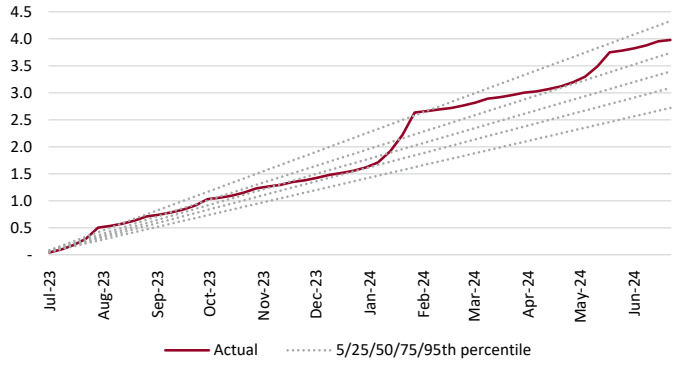
- News headlines & customer acquisition.
- Reinvestment of player winnings into future draws.
- The largest build-up in the prize reserve fund since the $100m draw in Jan-19.
    - However, the $200m draw in Feb-24 was a 7-week long accelerated sequence, whilst the Jan-19 sequence was a much slower 9-week long sequence. Note large jackpots do not guarantee a prize reserve fund build-up.

Exhibit 34 - Cumulative Powerball Sales (A$bn, y-axis) by week in year (x-axis) - YTD



Source: Company data, E&P Estimates. Note: Includes WA

Exhibit 35 - Powerball Sales (A$bn, FY24) relative to Monte Carlo Simulation Percentiles



Source: Company Data, E&P Estimates. Note: Includes WA.

Powerball's growth was partially aided by the May-23 game change. As a quick refresher, the game change had no impact on the division-one odds, but did increase the subscription price by 10c and was accompanied by a +2% increase in retailer commission. Overall, the impact was a +11.34% increase in a PBL ticket price. We had previously forecast a minor decline in LFL entries due to a combination of:

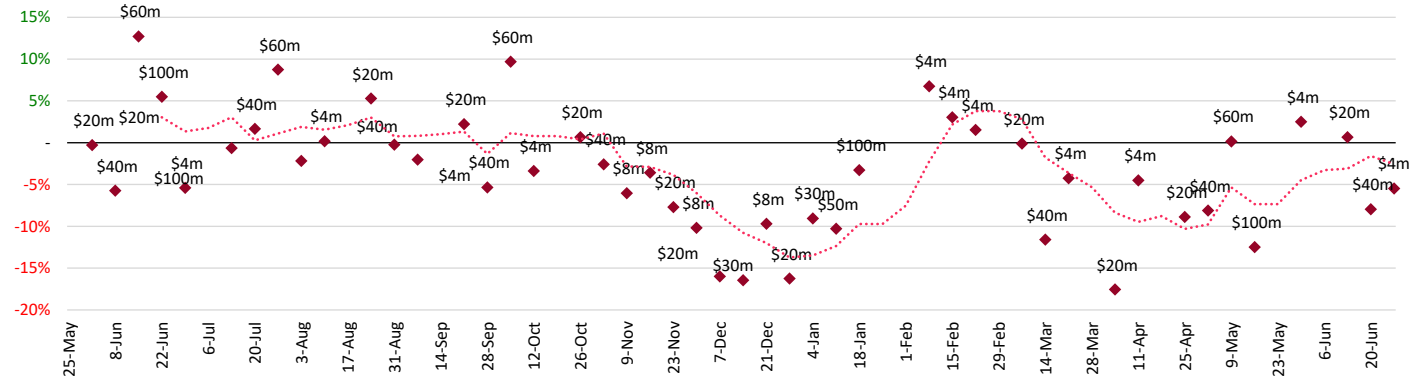
- The higher ticket price for the same division-one prize.
- Increased performance from Oz Lotto causing some cannibalization.
- Macroeconomic impacts such as the rising cost of living.

Below is a chart that we previously introduced in Powerball or Bust. The initial concept was to explore the impact that the May-23 game change had on LFL entries.

- Initially, LFL entries appeared to remain robust, with no evidence of consumer resistance to higher prices.
- However, in late October, LFL entries began to deteriorate relative to their pre game change levels.
- LFL entries then saw a remarkable recovery in Feb-24 following the record $200m draw before declining again.
- Another small boost occurred following the $150m draw in May-24.

In the short term, declining like-for-like jackpot entries decrease the probability of the jackpot going off, which actually increases the probability of larger jackpots. However, over the long run, this is not enough to offset the reduction in sales and the negative impact on the prize reserve fund, which in turn will result in slower sequences.

Exhibit 36 - Change in Powerball Like-for-Like Jackpot Entries post May-23 game change vs. the 12 months pre game-change



Source: Company Data, E&P Estimates. Note: excludes jackpots with fewer than three data points in the prior period. Comments are like-for-like jackpot size.

Below we have back-tested prior years of Powerball to compare the actual sales against the theoretical outcomes. The objective is to identify how much of an impact jackpot randomness had on a given result and determine the appropriate baseline for future projections. The lines in the chart below represent the theoretical outcomes for each given year, with the actual result as the marker. In order to increase sales, TLC needs either one of two things;

1. Luck/Favourable Draws - This will move the marker up along the line

- We note that jackpot outcomes are completely random and each year/week is independent of the prior year/week's result.

2. Improved simulation parameters - These will shift the entire line upwards.

- Numerous factors go into determining these simulation parameters including:
  - Weeks in period,
  - Starting jackpot,
  - Game changes,
  - Sequence impacts (acceleration),
  - Like-for-like jackpot entries, and
  - The prize reserve fund.

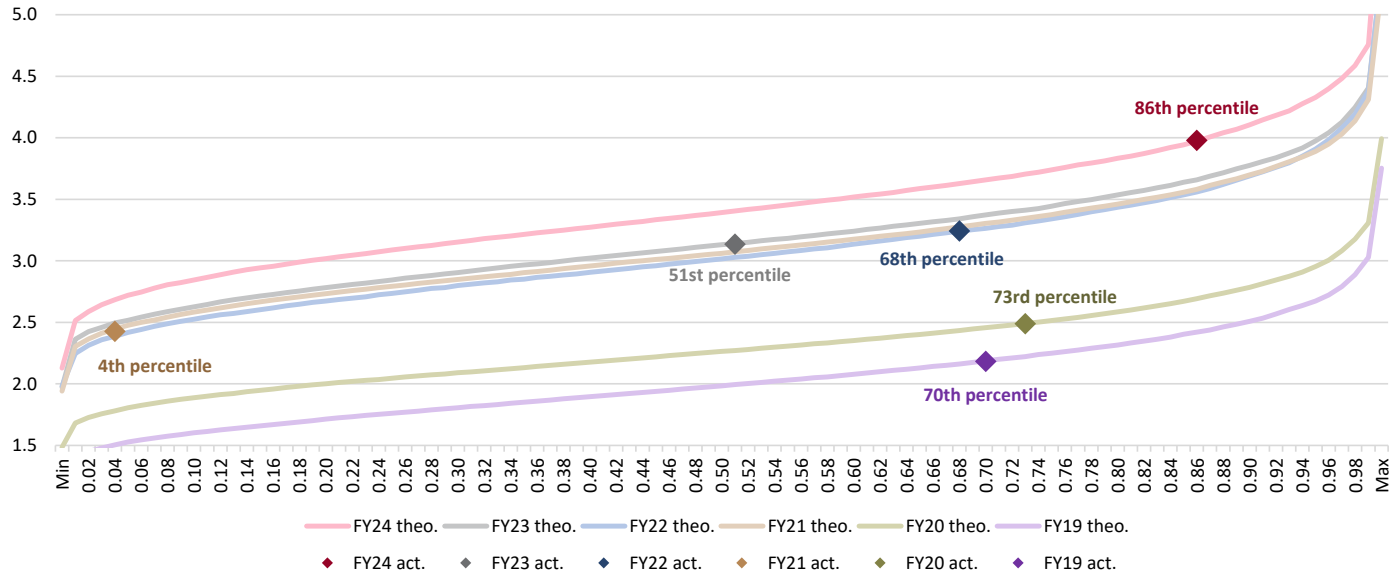
Factors such as the starting jackpot are short-term metrics, whilst LFL entries are more underlying factors reflective of the true strength of Powerball.

Below we can observe that the theoretical outcomes significantly increased post COVID as the lines moved higher, before plateauing from FY21-FY23. We can also see that despite significant growth in the theoretical outcome in FY21, its sales declined -2.6% vs. FY20 due to a 4th percentile outcome. Similarly, FY23's decline vs. FY22 was a function of favorable jackpot outcomes in FY22, rather than a decline in theoretical outcomes.

In FY24. Powerball was able to offset lower LFL entries than the prior three years, with the game change, resulting in higher theoretical outcomes. This was the reason we had previously forecast record Powerball sales for FY24 (see Powerball or Bust). However, the cherry on top for TLC was the favorable jackpot outcomes which we estimate were in the 86th percentile.

Going forward, our methodology for forward estimates is a reversion to the 50th percentile outcome. Hence, our estimates for FY25E are materially lower than FY24E (-17.9%). It is possible for Powerball to achieve FY24 sales again, but would require favorable luck again and/or a strong uplift in LFL entries.

Exhibit 37 - Powerball Monte Carlo Simulation Backtesting - Sales (A$m, y-axis), percentile outcome (#, x-axis)

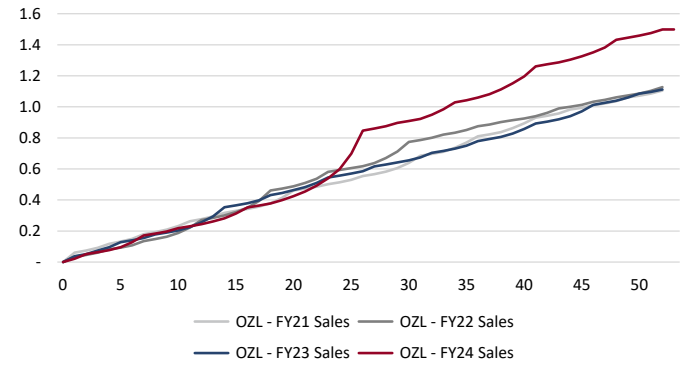


Source: Company Data, E&P Estimates. Note Includes WA.

Oz Lotto

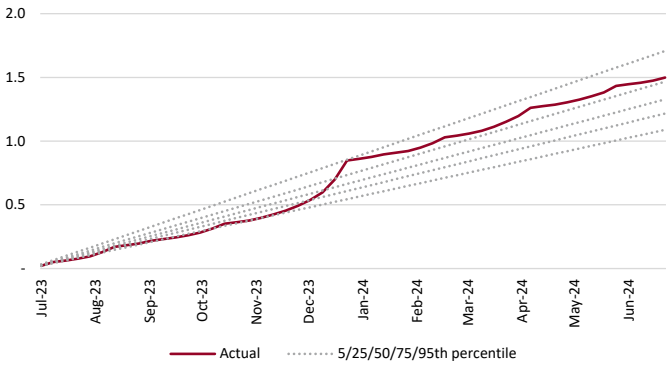
Oz Lotto also achieved record sales, 5.7% higher than the previous record in FY19. A key driver was the $90m jackpot in December, which was the first time since Jun-19 that Oz Lotto had gone past the $50m jackpot. We estimate that the probability of reaching this $90m jackpot was only 2.3% and that prize reserve fund accumulation from the sequence was the largest in Oz Lotto's history. For 2H24 alone, we estimate that Oz Lotto was in the 54th percentile. However, a strong start in 1H24 resulted in a total FY24 outcome in the 79th percentile.

Exhibit 38 - Cumulative Oz Lotto Sales (A$bn, y-axis) by week in year (x-axis) - YTD



Source: Company data, E&P Estimates. Note: Includes WA

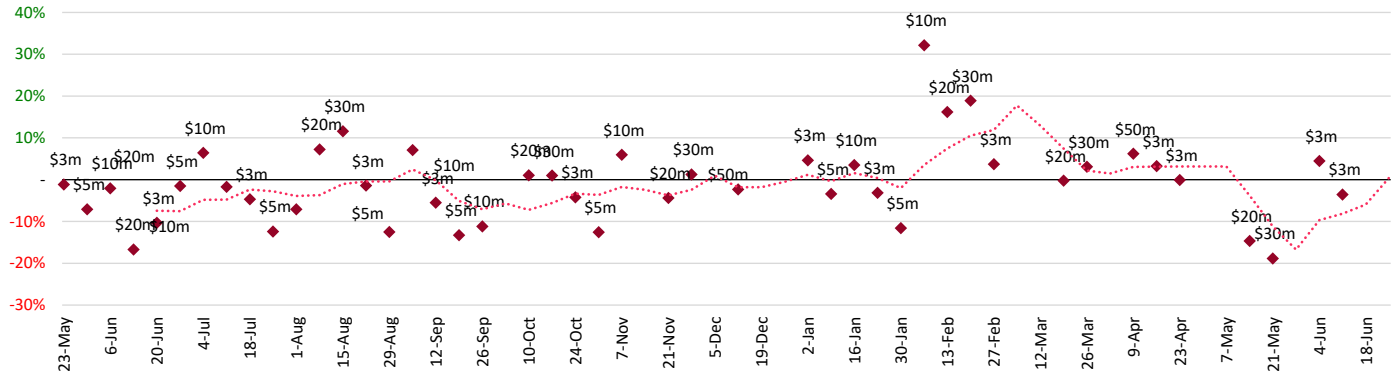
Exhibit 39 - Oz Lotto Sales (A$bn, FY24) relative to Monte Carlo Simulation Percentiles



Source: Company Data, E&P Estimates. Note: Includes WA.

Oz Lotto's LFL entries were more consistent than Powerball. The only major swings in momentum appeared to be a boost to entries immediately after the $200m Powerball draw in February and a weakness in entries leading up to the $150m Powerball draw in May.

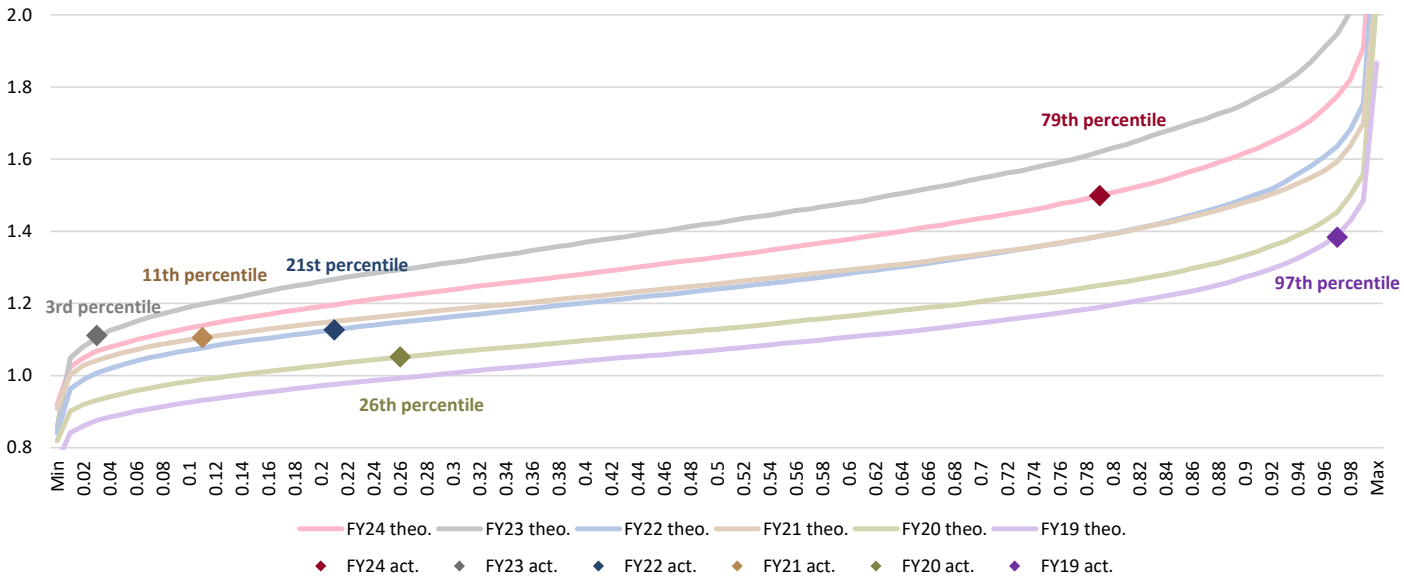
Exhibit 40 - Change in Oz Lotto Like-for-Like Jackpot Entries post the Powerball game change (May-23) vs. the prior 12 months



Source: Company Data, E&P Estimates. Note: excludes jackpots with fewer than three data points in the prior period. Comments are like-for-like jackpot size.

Oz Lotto received a very favorable change of luck in FY24. We had previously stated that Oz Lotto had endured a very unfavorable run of luck, with the previous three FY's in the 3rd, 21st, and 11th percentiles. We note that the theoretical outcomes for Oz Lotto in FY24 were actually lower than the FY23, largely due to the slower sequences used. This was the result of a depleted prize reserve fund that we previously flagged (see Powerball or Bust).

Exhibit 41 - Oz Lotto Monte Carlo Simulation Backtesting - Sales (A$m, y-axis), percentile outcome (#, x-axis)



Source: Company Data, E&P Estimates. Note Includes WA.

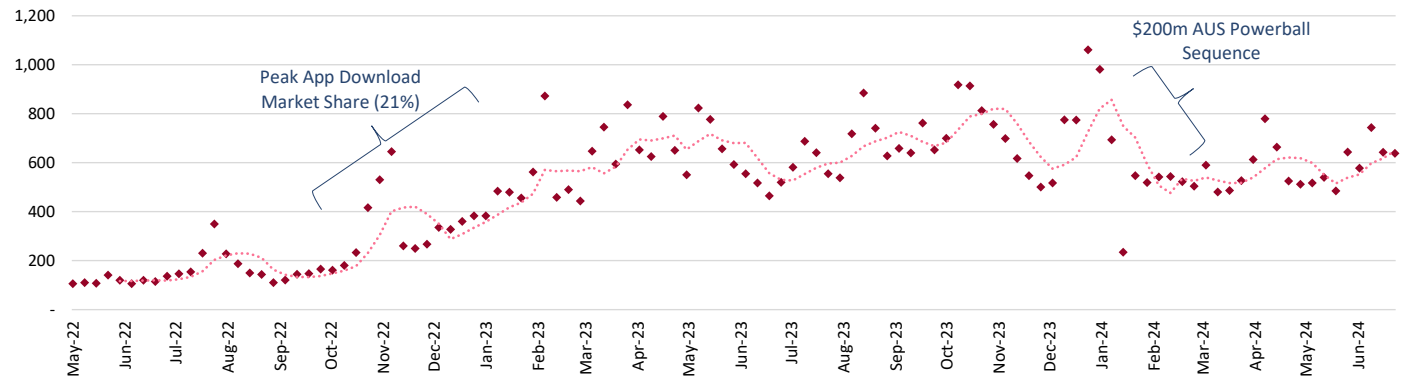
The Lottery Office

The Lottery Office (TLO) and other overseas retailers continue to be viewed by the market as a source of potential competitive risk. We recently did a deep dive into TLO's US operations, scale, and impact on TLC (see note). Since our publication, the AFR has reported that Communications Minister Michelle Rowland has started a review into offshore lottery providers and online keno distributors. The review has been supported in a statement by Australian Lottery and Newsagents Association (ALNA) CEO Ben Kearney, who represents what we believe is a critical lobbying partner for TLC.

We estimate that TLO's US sales declined in 2H24 vs. 1H24, primarily due to lower US Powerball & Mega Millions Jackpots. For the US games, comparing LFL entries is rather tricky, as their game rules yield inconsistent jackpot sequences. However, the chart below attempts to partially solve this problem by simply dividing The Pit Stop's weekly sales (TLO's affiliate) by the average size of the US Powerball & Mega Millions jackpots throughout the week. We observe the following key elements:

- Sales over the past 14 months are considerably higher than they were two years ago.
- The moving average line started gaining considerable momentum in the Dec-22 quarter. This is the same quarter where TLO had its largest market share of app downloads (21%).
- The decline in Nov-23 also lines up with a relative decline in app downloads.
- The next decline shortly after in Jan-24 corresponds with the Australian Powerball sequence that finished with the $200m draw, from which TLO has yet to fully recover.

Exhibit 42 - The Pit Stop Sports Bar & BBQ Grill Lottery Weekly Sales divided by the US Powerball & Mega Millions Jackpots (US$m)

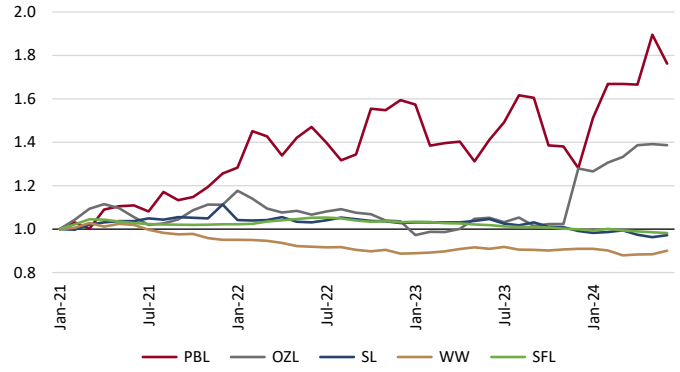


Source: Oregon Lottery, US Powerball, US Mega Millions, E&P Estimates. Note: US Jackpots are are the average combined size throughout the given week.

Portfolio Composition

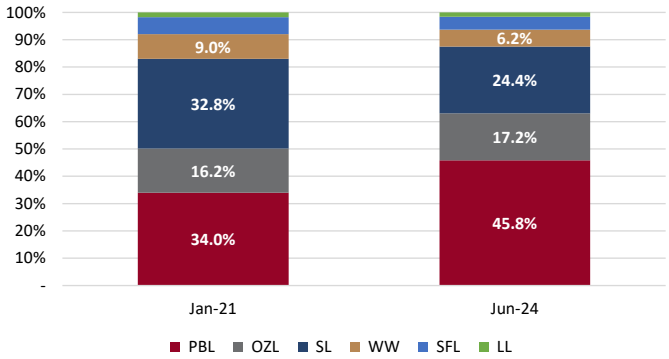
We previously explored in Powerball or Bust that jackpot games, but in particular Powerball, has been the primary game within the portfolio to see growth since COVID. This is potentially at the expense of other games that are either flat or marginally down. In FY24, this trend has only magnified, with Powerball now accounting for 45.8% of the total portfolio. When combined with Oz Lotto, 63% of the portfolio now comes from jackpot games, which inherently makes TLC's earning more volatile.

Exhibit 43 - Lotteries Turnover - 12 month Moving Average Total index (Jan-21 = 1.0)



Source: Company Data, E&P Estimates

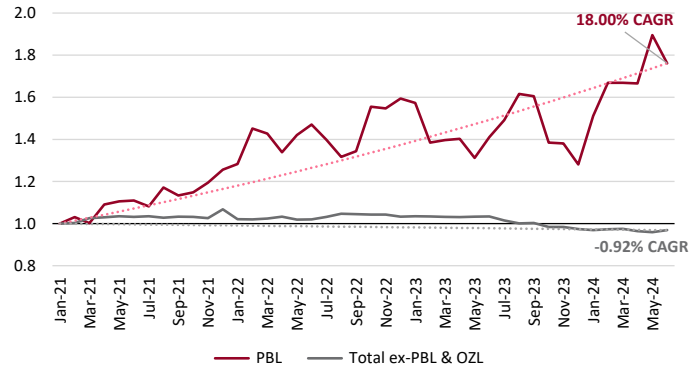
Exhibit 44 - Proportion of Lotteries Turnover by Game - 12 month Moving Average Total



Source: Company Data, E&P Estimates. Note Excludes Instants and Other Games

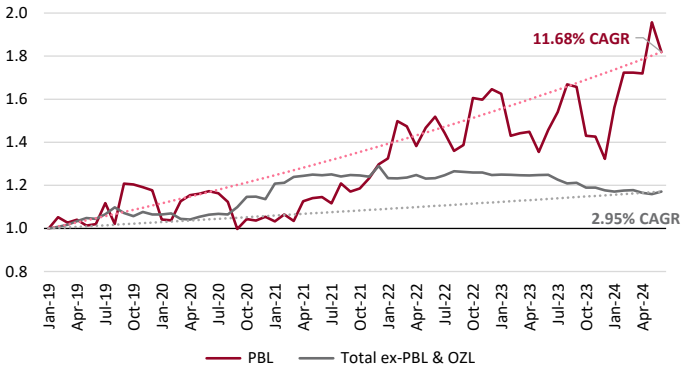
Below we have charted Powerball vs. the rest of the portfolio (ex Oz Lotto). Since Jan-21, Powerball has increased by +76%, while the non jackpot games are -3%. For context, we must also consider the abnormal nature of the lockdowns in conjunction with cannibalization. If we factor this into consideration, the non-jackpot games would have a respectable yearly CAGR of +2.95% despite declining since Jan-21.

Exhibit 45 - Lotteries Turnover - 12 month Moving Average Total index (Jan-21 = 1.0)



Source: Company Data, E&P Estimates

Exhibit 46 - Lotteries Turnover - 12 month Moving Average Total index (Jan-19 = 1.0)



Source: Company Data, E&P Estimates. Note Excludes Instants and Other Games

Turnover Estimates by Game

Below we show our turnover estimates by game for FY24E & provide commentary for our FY25E estimates.

Powerball - A downward reversion to the 50th percentile in conjunction with weaker LFL entries to start the year. Has a reasonably strong prize reserve fund which has already been put to use with management accelerating the sequence ($10m starting jackpots in July).

Oz Lotto - A downward reversion to the 50th percentile.

Saturday Lotto - Continued downward trend due to weakening sales and the depletion of prize reserves that were built up during covid.

Weekday Windfall - A significant increase due to an extra draw day, but not the full 50% uplift due to recent weakness.

Set for Life - Similar turnover to FY24.

Lucky Lotteries - A decent decline due to both jackpots going off recently. Unfortunately very little potential for the upcoming year.

Exhibit 47 - FY24 TLC Lottery Turnover Forecast by Game (A $m)

Game	FY23A	FY24E	yoy%
Powerball	2,483	3,098	24.8%
Oz Lotto	882	1,164	31.9%
Saturday Lotto	1,778	1,651	-7.1%
Weekday Windfall (prev. M&W Lotto)	417	420	0.7%
Set for Life	330	318	-3.7%
Lucky Lotteries	133	109	-18.4%
Instants	429	417	-2.8%
Other	162	163	0.6%
Total	**6,614**	**7,339**	**11.0%**

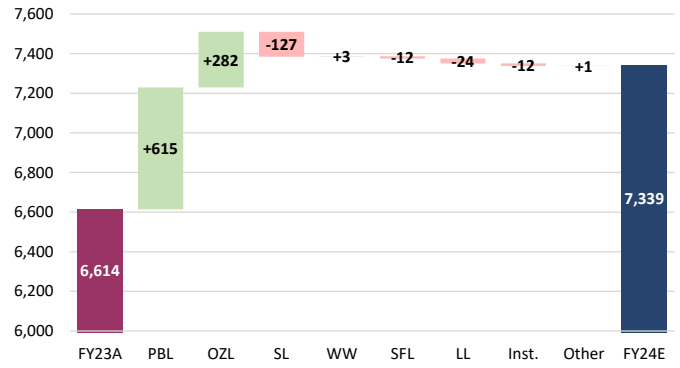
Source: Company Data, E&P Estimates. Note: excludes WA

Exhibit 48 - FY25 TLC Lottery Turnover Forecast by Game (A $m)

Game	FY24E	FY25E	yoy%
Powerball	3,098	2,544	-17.9%
Oz Lotto	1,164	1,090	-6.3%
Saturday Lotto	1,651	1,600	-3.1%
Weekday Windfall (prev. M&W Lotto)	420	550	31.0%
Set for Life	318	315	-0.8%
Lucky Lotteries	109	81	-25.4%
Instants	417	415	-0.5%
Other	163	160	-1.8%
Total	**7,339**	**6,755**	**-8.0%**

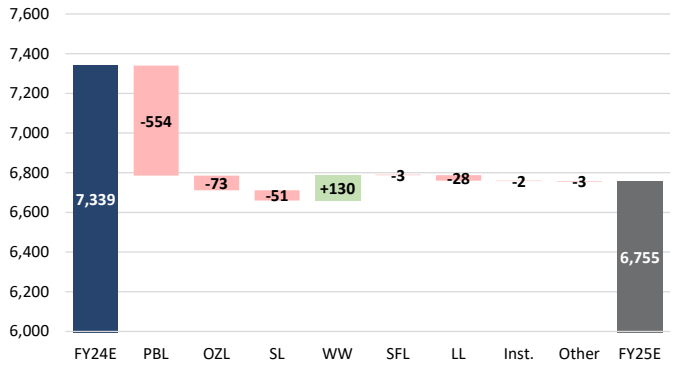
Source: Company Data, E&P Estimates. Note: excludes WA

Exhibit 49 - FY23 to FY24 TLC Lottery Turnover Waterfall (A $m)



Source: Company Data, E&P Estimates. Note: excludes WA

Exhibit 50 - FY24 to FY25 TLC Lottery Turnover Waterfall (A $m)



Source: Company Data, E&P Estimates. Note: excludes WA

Changes to Forecast and Valuation

We have made the following major changes to our forecasts for TLC

- Remodelled 50th percentile forecast turnover for forecast periods.
- Downgraded our assumptions for certain games (predominantly Powerball, Saturday Lotto & Weekday Windfall) due to some weakness in like-for-like entries.
- Increased our cost assumption for extending the Victorian Licence.
- Made adjustments to our lottery retailing variable contribution margin.

Our TLC financial forecasts for FY24 vs Visible Alpha consensus are as follows:

- Revenue: E&Pe $3,990.7m, VA Consensus $3,971.6m (+0.5%)
- EBITDA: E&Pe $826.3m, VA Consensus $825.1m (+0.2%)

Our TLC financial forecasts for FY25 vs Visible Alpha consensus are as follows:

- Revenue: E&Pe $3,704.3m, VA Consensus $3,956.0 (-6.4%)
- EBITDA: E&Pe $739.9m, VA Consensus $820.7m (-9.8%)

Changes to our forecasts are summarized in the table below.

Exhibit 51 - TLC changes to financial forecasts

		FY24E	FY25E	FY26E
Revenue	New	3,990.7	3,704.3	3,861.8
	Old	3,941.9	3,931.9	4,176.4
	% change	+1.2%	-5.8%	-7.5%
EBITDA	New	826.3	744.4	776.1
	Old	835.6	835.7	900.7
	% change	-1.1%	-10.9%	-13.8%
NPAT -	New	418.3	378.3	390.2
	Old	426.5	445.2	489.7
	% change	-1.9%	-15.0%	-20.3%
Valuation	New	$5.66		
	Old	$6.00		
	% change	-5.6%		

Source: E&P Estimates

Our price target on TLC declines -5.6% to reflect the above mentioned changes. We remain Positive.

Tabcorp

Positive recommendation, $1.02/sh valuation

Although not currently reflected in the share price, Tabcorp has more catalysts for growth than it has seen in recent years. We believe that the wagering market is not far from bottoming out, and may in fact already be there. Tabcorp has not been immune from the downturn in wagering volumes, but has likely gained share given the partial pullback from overseas-owned operators SportsBet & Entain.

Key issues going into the FY24 result include:

- A return to turnover growth post covid highs (particularly for racing).
- The potential increase in the NSW POCT rate and/or renegotiation of the retail licence terms.
- The impacts of the incoming advertising ban and the potential for generosities restrictions.
- How to best maximize the value of media assets.
- Continuing to close the gap on digital competitiveness.
- Whether Tabcorp retains their original Tab25 objectives.

Recap of Recent Deep Dive

We recently published a report 'TABula rasa and time to have a look' (see here) which explored the top three issues mentioned above. Below we have summarized our key conclusions:

Shorter Term Dynamics

It appears that Tabcorp gained share over the half. Racing turnover was down materially, with sports holding up. Net margins rose due to less of a 'promo war' between operators. As such, Tabcorp's net revenue trajectory looks "ok" right now given share gains.

NSW Level Playing Field

In our last note on Tabcorp we had published a some range estimates for the potential EBITDA uplift if NSW goes to a level playing field. Our prior ranges were $160-175m for 15% POCT scenario, and $120-130m for a 20% POCT scenario.

Post our report we have received better feedback on the exact mechanics of the potential upside from a NSW level playing field for Tabcorp. As such we detail below as an update to our prior analysis:

- Total current payments by TAB NSW ~$240m (as previously described) are removed (we had believed this was just from retail business but now understand it relates to online wagering as well);
- POCT comes in on all NSW revenue - Tabcorp already pays POCT at 15%, so a 5% increase to 20%. Revenue can be approximated as:
  - Total revenue pre-VRI share was $2434m
  - Proportion for NSW wagering ~43% = $1047m
  - 5% additional take rate = $52.4m additional POCT
- Tabcorp currently exempt from race field fees in NSW but this would end with level playing field, which should add ~2-3% (individual fees vary from 2.0% for a fixed price Standard Race Meeting to 3.5% for a totalizer Premier Race Meeting) across the NSW wagering turnover base related to NSW racing (so ~40% x 40% or 16%). On $12b of turnover this works out to $12b x 16% x 2.5% = $48m.
- All in this leads to a potential uplift of a shift to level playing field of $240m - $52m - $48m = ~$140m
- In the event that POCT stays at 15% in NSW, this would indicate instead ~$190m EBITDA uplift. We would note however that incrementally feedback is pointing to 20% being a much more likely scenario in the event a level playing field is achieved.

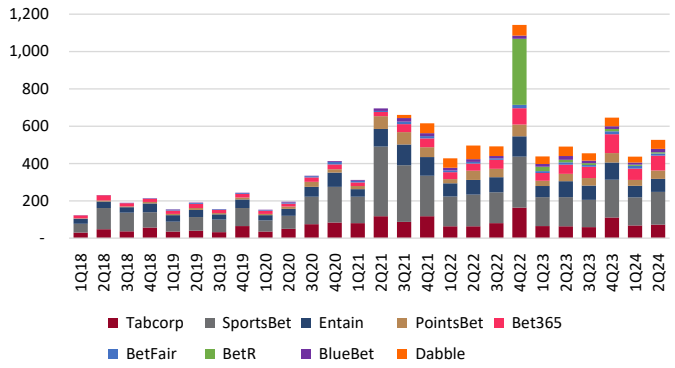
Potential Advertising Bans

Case studies indicate that there is often a pullback on turnover volumes in the lead-in to advertising bans (like what has happened in Australia right now), but that bans themselves don't lead to significant reductions in wagering turnover or revenues. Data also indicates that concentration among incumbent larger players has increased post advertising bans (albeit causation attribution is not straight-forward).

App Downloads

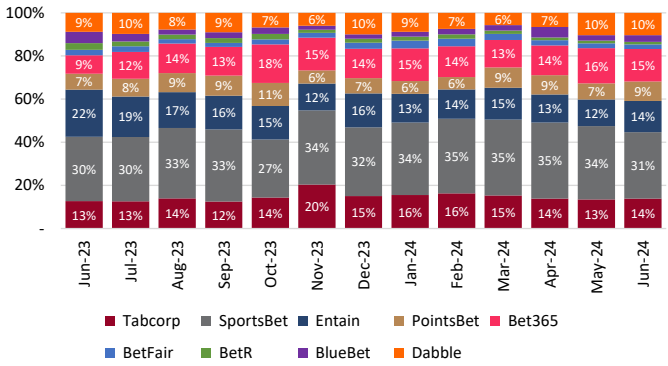
Total market app download data has remained steady with, 2Q24 in line with normal seasonal comps. Taborp's market share has been stable over recent months, while SportsBet lost share in June.

Exhibit 52 - Australian Wagering App Downloads (000's)



Source: AppMagic, E&P Estimates. Note: data includes IOS & Google stores, excludes non-mobile channels

Exhibit 53 - Australian Wagering App Downloads Market Share



Source: AppMagic, E&P Estimates. Note: data includes IOS & Google stores, excludes non-mobile channels

Changes to Forecast and Valuation

Given the short proximity of our recent deep dive, we make no changes to our forecasts at this time. We retain our Positive recommendation and $1.02/sh valuation on TAH.

SkyCity Entertainment Group

Neutral recommendation, $1.57/sh valuation

Management provided a trading update in June which although softer than originally anticipated, means the chances of a material share price movement at the FY24 result is quite low. The key takeaways will be the commentary regarding regulatory issues and FY25 performance, with the FY25 EBITDA guidance of $250m-$270m notably below VA consensus before the announcement ($326m). Regulatory issues likely have one more major hurdle, being a final fine from CBS, before investors can look past the history of the company and towards the future.

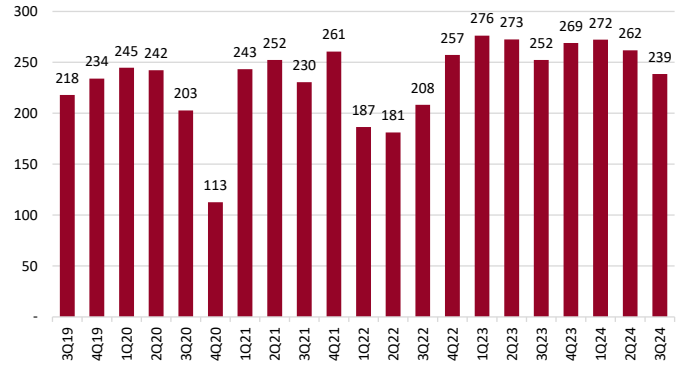
Key issues going into the FY24 result include:

- Economic environment and levels of consumer spend.
- Delayed completion of the Horizon Hotel and what the flow on effects to Auckland hotel, F&B, and gaming contributions are.
- Adoption of carded play and impact of enhanced AML/CTF requirements on player behaviour.
- Update on the potential legalization of iGaming in New Zealand and the impact of the GIG equity stake sale.
- Balance sheet weakness and the potential sale of further assets.
- The potential for a suspension of SkyCity's New Zealand license which could result in a cessation of business operations for up to 10 days.
- Update on the South Australian independent review by the CBS & SA casino duty dispute.

Land-Based Commentary & Trends

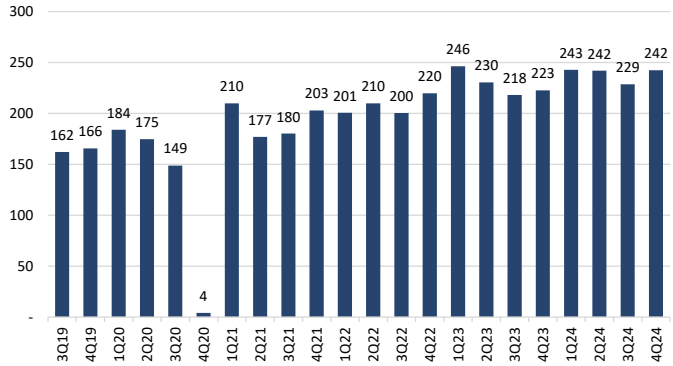
Below we show the available slot GGR data for New Zealand and South Australia. In New Zealand, 3Q24 was materially down both qoq/yoy (-8.8%/-5.4%) and the lowest since the lockdown-affected quarters. In South Australia, 3Q24 was down marginally qoq but was up yoy along with 4Q24. The general trendline post-COVID has been downwards for New Zealand but upwards for South Australia.

Exhibit 54 - Quarterly New Zealand Slot GGR (NZ$m)



Source: New Zealand Department of Internal Affairs, E&P Estimates

Exhibit 55 - Quarterly South Australian Slot GGR (A$m)

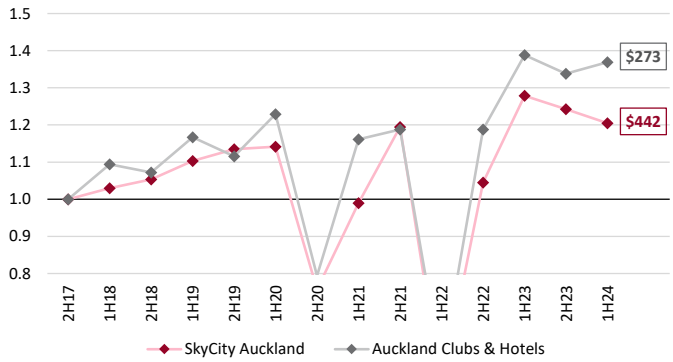


Source: South Australia Consumer and Business Services, E&P Estimates

The next two charts show general trends for Slot average daily revenue (ADR) in both SkyCity's Auckland and Adelaide casinos, compared to general trends in both cities/states. Typically, the correlation is relatively strong between casinos and local areas. However, in 1H24, both cities/states ADR gained vs. 2H23, whilst both the casinos declined. On an index basis since 2H17, the Auckland region ADR is beginning to pull away from the casino, albeit we note that the casino ADR is still materially higher on a nominal basis.

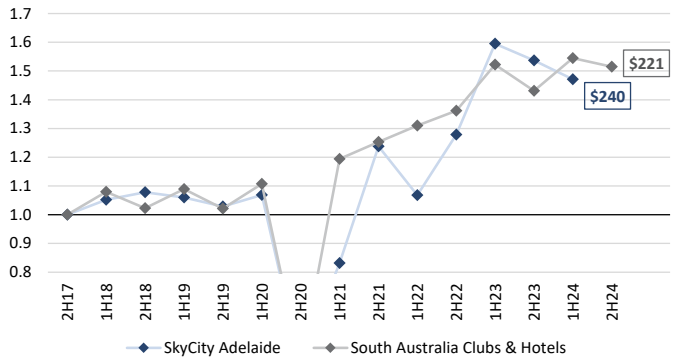
In 2H24, we only have data available for South Australia at the time of this report. The data indicates a minor decline in ADR vs. 1H24, in line with the historical seasonality that shows the second half to be a weaker period. We would expect this trend to continue for the Adelaide casino as well.

Exhibit 56 - SkyCity Auckland vs. Auckland Region Slot Machine Average Daily Revenue index (2H17 = 1.0) – 1H24 nominal value as label ($NZ)



Source: New Zealand Department of Internal Affairs, Company Data, E&P Estimates

Exhibit 57 - SkyCity Adelaide vs. South Australia Slot Machine Average Daily Revenue index (2H17 = 1.0) – 1H24/2H24 nominal value as label ($A)



Source: South Australia Consumer and Business Services, Company Data, E&P Estimates

Changes to Forecast and Valuation

We recently updated our numbers (see note) to reflect a trading announcement released in June (here). Post this, SkyCity has updated the market that they have likely settled their outstanding issue related to the Department of Internal Affairs applying for a 10 day shutdown. The settlement has led to an agreement for a 5 day shutdown of SkyCity's Auckland Casino gambling area, which is expected to impact EBITDA by $5m.

As a result, SkyCity has lowered their FY25 Group EBITDA guidance range by $5m reflecting this impact, with guidance now for a range of $245-265m EBITDA. As such we update our prior forecasts for a $5m one-time impact in 1h25.

		FY24E	FY25E	FY26E
Revenue - Reported	New	874.0	902.0	992.4
	Old	874.0	902.0	992.4
	% change	-	-	-
EBITDA - Reported	New	210.9	205.8	275.5
	Old	210.9	210.8	275.5
	% change	-	-2.4%	-
NPAT - Reported	New	58.7	48.9	92.0
	Old	58.7	52.4	92.1
	% change	-	-6.7%	-0.1%
Valuation	New	1.68		
	Old	1.57		
	% change	+7.3%		

		FY24E	FY25E	FY26E
Revenue - Normalised	New	962.6	989.7	1085.6
	Old	962.6	989.7	1085.6
	% change	-	-	-
EBITDA - Normalised	New	281.2	280.8	305.5
	Old	281.2	280.8	305.5
	% change	-	-	-
NPAT - Normalised	New	120.1	87.4	113.0
	Old	120.1	87.4	113.1
	% change	-	-0.0%	-0.1%
Valuation	New	1.68		
	Old	1.57		
	% change	+7.3%		

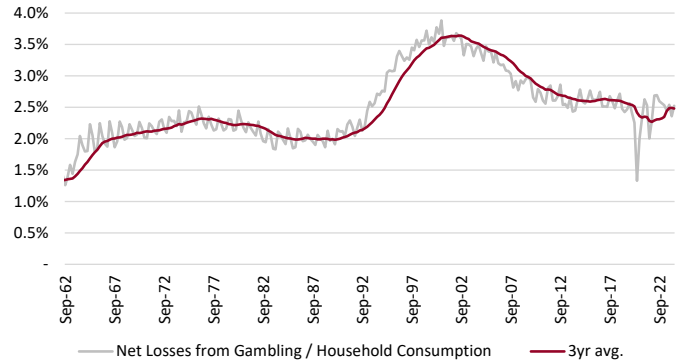
We retain our Neutral recommendation and $1.57/sh valuation on SKC.

Consumer Trends

Macroeconomic Impact

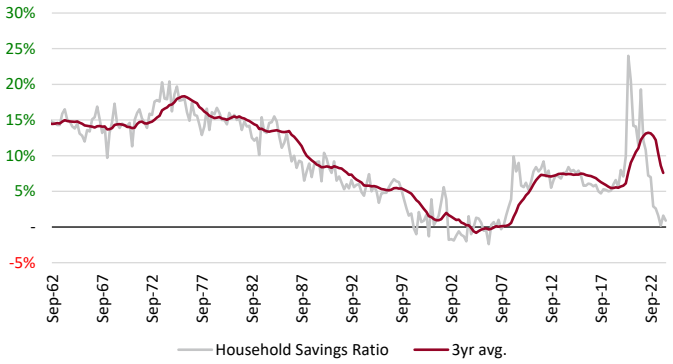
The accrued savings during the COVID lockdowns have now all but eroded with the household savings ratio down to the low levels last seen pre-GFC. Furthermore, the hike on interest rates led mortgage repayment growth to significantly outpace CPI. Younger generations are the most exposed to interest rate hikes via either their mortgages are elevated rents, particularly given the housing shortages. The CBA Cost of Living Insights report found that essential spending for 25-29 year olds declined by -3.7% yoy in 3Q23 and discretionary spending by -6.2%. This is despite a +5.1% increase in inflation. On the contrary, each 5-year age bracket of 40+ age groups increased overall spending. Given that wagering is over indexed towards younger generations, this may partially explain the recent pullback in player spend.

Exhibit 58 - Household Savings Ratio



Source: ABS, E&P Estimates

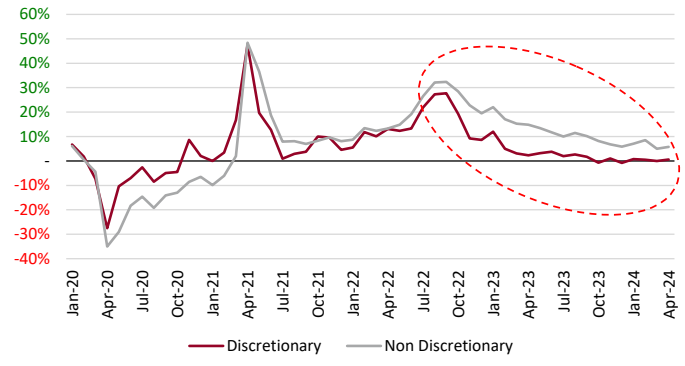
Exhibit 59 - Mortgage Interest Charge (index) relative to CPI



Source: ABS, E&P Estimates

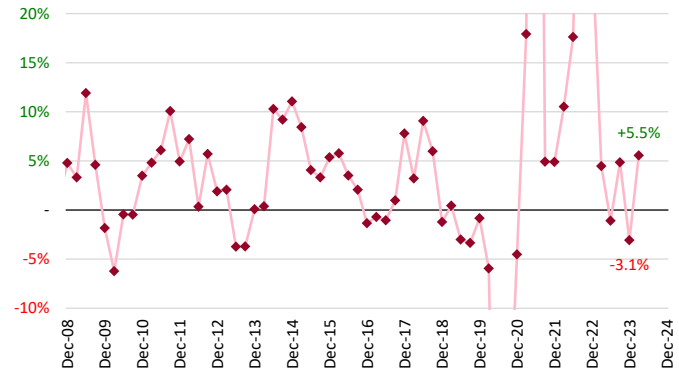
Across all age groups, household spending has also shifted towards non-discretionary spending, with flat growth in discretionary spending over the past 12-months. Gambling expenditure growth specifically has been volatile, with a strong Mar-24 (+5.5% yoy) quarter offsetting Dec-23 (-3.3%) which was the lowest growth quarter since the pandemic.

Exhibit 60 - Household Spend Index - yoy growth



Source: ABS, E&P Estimates

Exhibit 61 - Household Gambling Expenditure - yoy growth

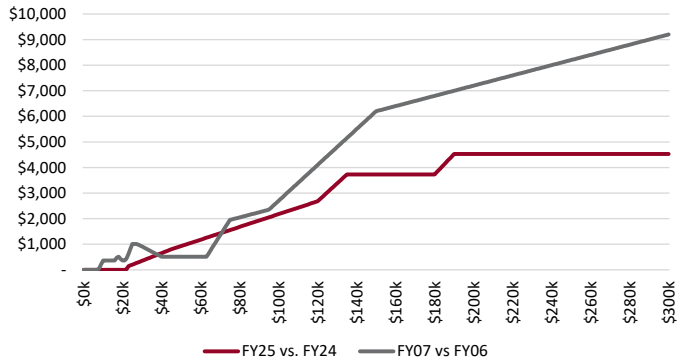


Source: ABS, E&P Estimates

Impending Tax Cuts

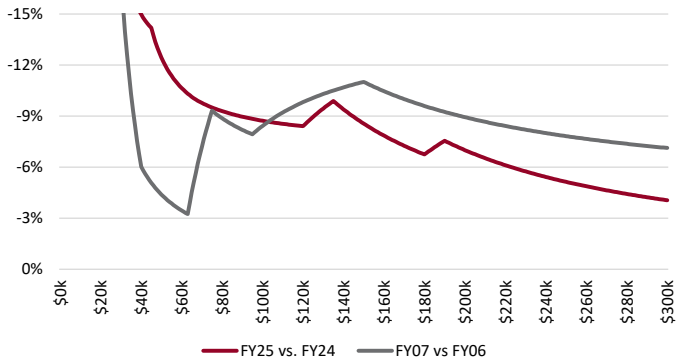
A potential catalyst for growth in gambling spend is the upcoming tax cuts, effective 1-Jul-24. Historically speaking, the gambling sector has been one of the biggest beneficiaries. The last material tax cuts in Australia were in 2006 & 2008/2009. The household savings ratio in the exhibits below shows that these cuts did help stabilize the savings ratio after a significant period of decline. We do note that the upcoming coming tax cuts differ considerably from the prior tax cuts, as they are much more progressive. Most notably, there is no reduction in the marginal rate for the top tax bracket, capping the savings at ~$4,500.

Exhibit 62 - Comparison of Tax Cuts (A$, y-axis) vs. Income (x-axis).



Source: Australian Treasury, E&P Estimates. Note includes LITO & Medicare.

Exhibit 63 - Comparison of Tax Cuts (%, y-axis) vs. Income (x-axis).



Source: Australian Treasury, E&P Estimates. Note includes LITO & Medicare.

FINANCIAL SUMMARY

Aristocrat Leisure Ltd				ALL-ASX					
As at:	20/07/2024			Recommendation:	Positive			Share Price:	AUD53.11
Year end	**Sep**	**2023A**	**2024E**	**2025E**	**2026E**	**Year end**	**Sep**	**2023A**	**2024E**	**2025E**	**2026E**
INCOME STATEMENT						FINANCING CASH FLOWS					
Total Operating Income/Revenue		6,295.7	6,753.8	7,315.3	7,834.4	Proceeds from Borrowings		(101.6)	(50.5)	0.0	0.0
EBITDA		2,083.4	2,404.6	2,696.1	2,898.0	Net Proceeds Issue/Buyback of Securities		(443.3)	(857.9)	(425.0)	(350.0)
D&A		(382.0)	(436.6)	(515.1)	(550.0)	Distributions		(367.4)	(460.5)	(488.3)	(534.9)
EBIT		1,701.4	1,968.0	2,181.0	2,348.0	**Total Financing Cash Flow**		**(1,031.4)**	**(1,393.0)**	**(913.3)**	**(884.9)**
Net Interest Expense		(40.6)	(30.1)	(119.4)	(85.2)	Net Change in Cash		129.7	(1,999.5)	507.7	762.0
PBT		1,670.4	1,930.6	2,061.5	2,262.8	Free Cashflow		1,346.4	(575.4)	1,421.0	1,646.9
Tax expense		(216.3)	(492.6)	(515.4)	(565.7)	**Year end**	**Sep**	**2023A**	**2024E**	**2025E**	**2026E**
NPAT attributable to s'hers		**1,454.1**	**1,438.0**	**1,546.2**	**1,697.1**	PER SHARE DATA					
Adjusted Net Profit		1,454.1	1,438.0	1,546.2	1,697.1	EPS - Adjusted (cents)		223.0	228.0	249.1	276.5
Year end	**Sep**	**2023A**	**2024E**	**2025E**	**2026E**	DPS (cents)		64.0	74.0	78.1	86.7
BALANCE SHEET						Cash Flow Per Share (cents/share)		206.5	(91.2)	228.9	268.3
Assets						Book Value ($/sh)		1,037.1	1,077.7	1,195.5	1,341.6
Cash		3,151.0	1,151.5	1,659.2	2,421.2	**Year end**	**Sep**	**2023A**	**2024E**	**2025E**	**2026E**
Current Receivables		994.8	1,047.2	1,117.7	1,197.2	SEGMENTALS					
Inventories		309.0	321.4	340.3	364.0	Gaming Revenue		3,461.5	3,731.6	4,001.2	4,253.5
Other Current Assets		92.5	114.0	114.0	114.0	Digital Revenue		2,651.6	2,613.3	2,601.4	2,608.9
Total Current Assets		4,547.3	2,634.0	3,231.2	4,096.4	Interactive Revenue		182.6	408.9	712.7	972.0
Property Plant & Equipment		486	656	769	827	Segment Revenue		6,295.7	6,753.8	7,315.3	7,834.4
Intangibles		4,000.5	5,729.3	5,693.0	5,672.7	Gaming EBITA		1,863.9	2,040.2	2,194.8	2,352.9
Other Non-Current Assets		228.4	210.1	210.1	210.1	Digital EBITA		854.9	918.7	922.4	926.4
Total Non-Current Assets		6,375.0	8,213.4	8,290.1	8,327.7	Interactive EBITA		31.0	128.5	241.6	336.2
Total Assets (BS)		10,922.3	10,847.4	11,521.3	12,424.1	Segment EBITA		2,749.8	3,087.4	3,358.8	3,615.5
Liabilities						**Year end**	**Sep**	**2023A**	**2024E**	**2025E**	**2026E**
Short Term Debt		99.6	98.3	98.3	98.3	ANALYSIS					
Total Current liabilities		1,527.1	1,510.7	1,551.7	1,642.3	EBITDA Margin (%)		33.1	35.6	36.9	37.0
Long Term Debt		2,242.3	2,162.1	2,162.1	2,162.1	EBIT Margin (%)		27.0	29.1	29.8	30.0
Total Non-Current Liabilities		2,669.1	2,569.2	2,569.2	2,569.2	Net Profit Margin (%)		23.1	21.3	21.1	21.7
Total Liabilities		4,196	4,080	4,121	4,212	Capital Employed		5,917.0	7,876.4	8,001.6	8,051.8
Total Shareholders' Equity		6,726.1	6,767.5	7,400.4	8,212.6	Return on Capital Employed (%)		29.9	28.5	27.5	29.3
Net Assets		6,726.1	6,767.5	7,400.4	8,212.6	EBITDA/Capital Employed (%)		36.6	34.9	34.0	36.1
Book Value		6,726.1	6,767.5	7,400.4	8,212.6	**ROE %**		**22.8**	**21.3**	**21.8**	**21.7**
Year end	**Sep**	**2023A**	**2024E**	**2025E**	**2026E**	Net Debt/Equity (%)		(12.0)	16.4	8.1	(2.0)
OPERATING CASH FLOWS						Net Debt/Net Debt & Equity (%)		(13.7)	14.1	7.5	(2.0)
EBITDA		2,199.1	2,197.7	2,696.1	2,898.0	Net Debt/EBITDA (x)		(0.4)	0.5	0.2	(0.1)
Change in Working Capital		0.0	221.3	(48.4)	(12.6)	Net Interest Cover (x)		11.1	11.6	12.0	14.0
Other Operating Cashflow		20.9	1.3	0.0	0.0	GOCF/EBITDA (%)		1.0	1.1	1.0	1.0
Gross Operating Cash Flow		**2,220.0**	**2,420.4**	**2,647.7**	**2,885.4**	Total Capex/Sales (%)		10.0	35.5	8.1	7.5
Net interest paid		(36.1)	(27.0)	(119.4)	(85.2)	Working Capital/Sales (%)		0.1	0.1	0.1	0.1
Tax Paid		(384.8)	(574.0)	(515.4)	(565.7)	D&A/PP&E (%)		78.6	66.6	67.0	66.5
Net Operating Cash Flows		**1,799.1**	**1,819.4**	**2,012.8**	**2,234.4**	EV/EBITDA (x)		11.6	12.4	10.7	9.6
Investing Cash Flows											
Purchase of PP&E		(452.7)	(2,394.7)	(591.8)	(587.6)						
Other Investing Cashflows		(2.8)	6.0	0.0	0.0	BLENDED VALUATION					
Total Investing CashFlow		**(629.7)**	**(2,388.7)**	**(591.8)**	**(587.6)**	Valuation - DCF		57.48	100.0%		
						Valuation - Capitalisation of Earnings		0.00	0.0%		
						Valuation - PER		0.00	0.0%		
						Valuation - SOTP		0.00			
						Valuation		AUD57.48			

Source: Company data, E&P estimates

Light and Wonder				LNW-ASX	
As at:	20/07/2024			Recommendation:	Positive

Year end	Dec	2023E	2024E	2025E	2026E
INCOME STATEMENT					
Total Operating Income/Revenue		2,902.0	3,125.8	3,347.2	3,612.7
EBITDA		1,118.0	1,187.1	1,325.0	1,510.6
D&A		(385.0)	(388.4)	(382.8)	(359.7)
EBIT		733.0	798.7	942.2	1,150.9
Net Interest Expense		(309.0)	(280.7)	(259.0)	(235.7)
PBT		424.0	518.0	683.3	915.2
Tax expense		(26.0)	(72.7)	(108.2)	(156.9)
Share of profits from associates		0.0	0.0	0.0	0.0
Minority Interest		(11.0)	0.0	0.0	0.0
NPAT attributable to s'hers		**168.0**	**299.3**	**407.1**	**590.3**
Normalisation Adjustments		219.0	146.0	168.0	168.0
Adjusted Net Profit		387.0	445.3	575.1	758.3
Year end	**Dec**	**2023E**	**2024E**	**2025E**	**2026E**
BALANCE SHEET					
Assets					
Cash		521.0	846.3	1,373.2	2,046.8
Current Receivables		506.0	528.7	571.5	614.7
Other Current Assets		113.0	114.0	114.0	114.0
Total Current Assets		1,140.0	1,489.0	2,058.7	2,775.5
Property Plant & Equipment		288	348	348	348
Intangibles		763.0	640.0	566.6	529.7
Other Non-Current Assets		239.0	295.0	295.0	295.0
Total Non-Current Assets		4,235.0	4,208.1	4,134.7	4,097.8
Total Assets (BS)		5,375.0	5,697.1	6,193.4	6,873.2
Liabilities					
Short Term Debt		3,874.0	3,874.0	3,874.0	3,874.0
Total Current liabilities		4,548.0	4,533.3	4,541.0	4,549.8
Total Non-Current Liabilities		239.0	224.0	224.0	224.0
Total Liabilities		4,787	4,757	4,765	4,774
Total Shareholders' Equity		765.0	1,118.3	1,613.4	2,291.7
Net Assets		588.0	939.8	1,428.4	2,099.4
Net Tangible Assets		(2,943.0)	(2,446.7)	(1,878.3)	(1,163.0)
Book Value		765.0	1,118.3	1,613.4	2,291.7
Year end	**Dec**	**2023E**	**2024E**	**2025E**	**2026E**
OPERATING CASH FLOWS					
EBITDA		755.0	1,098.1	1,325.0	1,510.6
Change in Working Capital		(82.0)	(17.9)	(41.5)	(41.7)
Other Operating Cashflow		0.0	(60.0)	(80.0)	(80.0)
Gross Operating Cash Flow		**673.0**	**1,020.2**	**1,203.6**	**1,388.9**
Net interest paid		0.0	(205.7)	(259.0)	(235.7)
Tax Paid		(83.0)	(81.7)	(108.2)	(156.9)
Net Operating Cash Flows		**590.0**	**732.8**	**836.4**	**996.2**
Investing Cash Flows					
Purchase of PP&E		(242.0)	(334.5)	(309.4)	(322.7)
Other Investing Cashflows		(9.0)	(5.0)	0.0	0.0
Total Investing CashFlow		**(251.0)**	**(339.5)**	**(309.4)**	**(322.7)**

Source: Company data, E&P estimates

Share Price:	AUD154.78

Year end	Dec	2023E	2024E	2025E	2026E
FINANCING CASH FLOWS					
Proceeds from Borrowings		(34.0)	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(715.0)	(58.0)	0.0	0.0
Total Financing Cash Flow		**(788.0)**	**(65.0)**	**0.0**	**0.0**
Net Change in Cash		(449.0)	328.3	526.9	673.5
Free Cashflow		348.0	398.3	526.9	673.5
Year end	**Dec**	**2023E**	**2024E**	**2025E**	**2026E**
PER SHARE DATA					
EPS - Adjusted (cents)		430.8	492.0	629.3	822.7
Cash Flow Per Share (cents/share)		387.4	440.0	576.6	730.7
Book Value ($/sh)		851.6	1,235.4	1,765.6	2,486.2
NTA Per Share ($/sh)		(3,276.2)	(2,702.9)	(2,055.4)	(1,261.7)
Year end	**Dec**	**2023E**	**2024E**	**2025E**	**2026E**
ANALYSIS					
EBITDA Margin (%)		38.5	38.0	39.6	41.8
EBIT Margin (%)		25.3	25.6	28.1	31.9
Net Profit Margin (%)		13.3	14.2	17.2	21.0
Capital Employed		3,941.0	3,967.5	3,929.2	3,926.7
Return on Capital Employed (%)		18.3	20.2	23.9	29.3
EBITDA/Capital Employed (%)		27.8	30.0	33.6	38.5
ROE %		**40.2**	**47.3**	**42.1**	**38.8**
Net Debt/Equity (%)		438.3	270.7	155.0	79.7
Net Debt/Net Debt & Equity (%)		81.4	73.0	60.8	44.4
Net Debt/EBITDA (x)		3.0	2.6	1.9	1.2
Net Interest Cover (x)		2.4	2.8	3.6	4.9
GOCF/EBITDA (%)		0.9	0.9	0.9	0.9
Total Capex/Sales (%)		8.3	10.7	9.2	8.9
Working Capital/Sales (%)		0.1	0.1	0.1	0.1
D&A/PP&E (%)		133.7	111.6	110.0	103.3
EV/EBITDA (x)		15.4	14.4	12.6	10.7

BLENDED VALUATION		
Valuation - DCF	272.14	0.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	195.00	1.0%
Valuation - SOTP	0.00	
Valuation	AUD195.00	

The Lottery Corporation				TLC-ASX	
As at:	20/07/2024			Recommendation:	Positive

Year end	Jun	2023E	2024E	2025E	2026E
INCOME STATEMENT					
Total Operating Income/Revenue		3,513.1	3,990.7	3,704.3	3,861.8
EBITDA		713.2	826.3	744.4	776.1
D&A		(98.2)	(102.9)	(99.2)	(104.7)
EBIT		615.0	723.4	645.1	671.4
Net Interest Expense		(116.1)	(105.9)	(94.6)	(104.0)
PBT		493.1	604.6	540.5	557.4
Tax expense		(153.7)	(186.3)	(162.1)	(167.2)
NPAT attributable to s'hers		**339.4**	**418.3**	**378.3**	**390.2**
Adjusted Net Profit		339.4	418.3	378.3	390.2
Year end	**Jun**	**2023E**	**2024E**	**2025E**	**2026E**
BALANCE SHEET					
Assets					
Current Receivables		41.8	104.1	91.7	95.5
Other Current Assets		450.1	330.3	330.3	330.3
Total Current Assets		926.4	1,394.8	1,350.4	1,040.0
Property Plant & Equipment		147	139	124	112
Intangibles		888.2	858.2	818.6	1,259.9
Other Non-Current Assets		318.1	386.9	386.9	386.9
Total Non-Current Assets		3,444.5	3,474.6	3,419.9	3,849.9
Total Assets (BS)		4,370.9	4,869.4	4,770.3	4,890.0
Liabilities					
Total Current liabilities		1,048.0	1,308.2	1,163.5	1,205.4
Long Term Debt		2,459.8	2,536.7	2,536.7	2,536.7
Total Non-Current Liabilities		3,058.1	3,145.6	3,145.6	3,145.6
Total Liabilities		4,106	4,454	4,309	4,351
Total Shareholders' Equity		264.8	415.6	461.2	538.9
Net Assets		264.8	415.6	461.2	538.9
Net Tangible Assets		(2,706.6)	(2,525.8)	(2,440.6)	(2,804.2)
Book Value		264.8	415.6	461.2	538.9
Year end	**Jun**	**2023E**	**2024E**	**2025E**	**2026E**
OPERATING CASH FLOWS					
EBITDA		713.2	826.3	744.4	776.1
Change in Working Capital		59.8	217.7	(132.2)	38.1
Other Operating Cashflow		(68.4)	24.6	0.0	0.0
Gross Operating Cash Flow		**704.6**	**1,068.6**	**612.1**	**814.2**
Net interest paid		(117.2)	(108.8)	(104.6)	(114.0)
Tax Paid		(130.9)	(193.2)	(162.1)	(167.2)
Net Operating Cash Flows		**456.5**	**766.7**	**345.4**	**533.0**
Investing Cash Flows					
Purchase of PP&E		0.0	(8.4)	(14.8)	(15.4)
Other Investing Cashflows		(41.6)	(19.1)	0.0	0.0
Total Investing CashFlow		**(121.2)**	**(79.3)**	**(44.5)**	**(534.8)**

Source: Company data, E&P estimates

Share Price:	AUD5.05

Year end	Jun	2023E	2024E	2025E	2026E
FINANCING CASH FLOWS					
Proceeds from Borrowings		0.0	135.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(10.3)	(18.9)	0.0	0.0
Distributions		(197.1)	(272.6)	(332.8)	(312.4)
Total Financing Cash Flow		**(217.0)**	**(161.5)**	**(332.8)**	**(312.4)**
Net Change in Cash		118.3	525.9	(31.9)	(314.2)
Free Cashflow		456.5	758.2	330.5	517.6
Year end	**Jun**	**2023E**	**2024E**	**2025E**	**2026E**
PER SHARE DATA					
EPS - Adjusted (cents)		15.2	18.8	17.0	17.5
DPS (cents)		15.0	15.0	15.0	14.0
Cash Flow Per Share (cents/share)		20.5	34.1	14.9	23.3
Book Value ($/sh)		11.9	18.7	20.7	24.2
NTA Per Share ($/sh)		(121.6)	(113.5)	(109.7)	(126.0)
Year end	**Jun**	**2023E**	**2024E**	**2025E**	**2026E**
ANALYSIS					
EBITDA Margin (%)		20.3	20.7	20.1	20.1
EBIT Margin (%)		17.5	18.1	17.4	17.4
Net Profit Margin (%)		9.7	10.5	10.2	10.1
Capital Employed		2,290.1	1,991.9	2,069.4	2,461.4
Return on Capital Employed (%)		26.7	33.8	31.8	29.6
EBITDA/Capital Employed (%)		31.0	38.6	36.7	34.3
ROE %		**133.7**	**123.0**	**86.3**	**78.0**
Net Debt/Equity (%)		764.8	379.3	348.7	356.7
Net Debt/Net Debt & Equity (%)		88.4	79.1	77.7	78.1
Net Debt/EBITDA (x)		2.8	1.9	2.2	2.5
Net Interest Cover (x)		5.2	5.3	4.5	4.6
GOCF/EBITDA (%)		1.0	1.3	0.8	1.0
Total Capex/Sales (%)		2.3	1.5	1.2	13.8
Working Capital/Sales (%)		(0.2)	(0.3)	(0.3)	(0.3)
D&A/PP&E (%)		66.8	74.2	80.3	93.4
EV/EBITDA (x)		18.8	15.7	17.3	17.3

BLENDED VALUATION		
Valuation - DCF	5.66	1.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	0.00	0.0%
Valuation - SOTP	0.00	
Valuation	AUD5.66	

SkyCity Entertainment Group Ltd				SKC-ASX		Neutral			Share Price:	AUD1.39
As at:		20/07/2024		Recommendation:						
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**	**Year end**	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
INCOME STATEMENT						FINANCING CASH FLOWS					
Total Operating Income/Revenue		926.2	874.0	902.0	992.4	Proceeds from Borrowings		40.9	96.9	0.0	0.0
EBITDA		165.9	210.9	205.8	275.5	Net Proceeds Issue/Buyback of Securities		0.0	0.0	0.0	0.0
D&A		(90.6)	(88.2)	(99.5)	(101.8)	Distributions		(45.5)	(45.5)	0.0	(64.5)
EBIT		75.3	122.7	106.2	173.7	**Total Financing Cash Flow**		**(3.8)**	**49.6**	**0.0**	**(64.5)**
Net Interest Expense		(28.6)	(29.7)	(42.4)	(48.3)	Net Change in Cash		196.3	(179.3)	(105.2)	47.6
PBT		51.8	99.5	69.9	131.4	Free Cashflow		(3.2)	(16.3)	(96.1)	122.1
Tax expense		(43.8)	(40.9)	(21.0)	(39.4)	**Year end**	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
NPAT attributable to s'hers		**8.0**	**58.7**	**48.9**	**92.0**	PER SHARE DATA					
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**	EPS - Adjusted (cents)		1.0	7.7	6.4	12.1
BALANCE SHEET						DPS (cents)		10.8	4.7	0.0	7.7
Assets						Cash Flow Per Share (cents/share)		(0.4)	(2.2)	(12.6)	16.1
Cash		245.0	65.7	0.0	8.2	Book Value ($/sh)		1.8	1.8	1.9	1.9
Current Receivables		50.8	39.5	42.0	45.6	NTA Per Share ($/sh)		1.1	1.2	1.2	1.3
Inventories		8.6	8.9	9.8	10.4	**Year end**	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
Other Current Assets		14.1	21.3	21.3	21.3	ANALYSIS					
Total Current Assets		318.5	135.5	73.1	85.6	EBITDA Margin (%)		17.9	24.1	22.8	27.8
Property Plant & Equipment		1,652	1,940	2,016	2,011	EBIT Margin (%)		8.1	14.0	11.8	17.5
Intangibles		566.6	560.9	557.5	555.0	Net Profit Margin (%)		0.9	6.7	5.4	9.3
Other Non-Current Assets		148.5	145.7	145.7	145.7	Capital Employed		1,856.7	2,142.9	2,296.9	2,276.8
Total Non-Current Assets		2,545.0	2,829.7	2,901.6	2,894.0	Return on Capital Employed (%)		3.9	6.1	4.8	7.6
Total Assets (BS)		2,863.5	2,965.2	2,974.6	2,979.6	EBITDA/Capital Employed (%)		8.5	10.5	9.3	12.0
Liabilities						**ROE %**		**0.5**	**3.8**	**3.1**	**5.7**
Short Term Debt		45.8	45.8	45.8	45.8	Net Debt/Equity (%)		21.3	39.0	41.9	40.7
Total Current liabilities		347.5	335.0	356.0	372.9	Net Debt/Net Debt & Equity (%)		17.6	28.1	29.5	28.9
Long Term Debt		525.7	621.2	621.2	621.2	Net Debt/EBITDA (x)		2.0	2.9	3.2	2.4
Total Non-Current Liabilities		985.8	1,088.7	988.7	988.7	Net Interest Cover (x)		2.2	3.4	2.5	3.7
Total Liabilities		1,333	1,424	1,345	1,362	GOCF/EBITDA (%)		1.7	1.1	0.6	1.1
Total Shareholders' Equity		1,530.2	1,541.6	1,590.5	1,618.0	Total Capex/Sales (%)		28.4	18.6	19.0	9.5
Net Assets		1,530.2	1,541.6	1,629.9	1,618.0	Working Capital/Sales (%)		(0.2)	(0.2)	(0.2)	(0.2)
Net Tangible Assets		963.6	980.7	1,033.0	1,063.0	D&A/PP&E (%)		5.5	4.5	4.9	5.1
Book Value		1,530.2	1,541.6	1,590.5	1,618.0	EV/EBITDA (x)		13.6	8.4	8.9	6.6
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**						
OPERATING CASH FLOWS						BLENDED VALUATION					
EBITDA		165.9	210.9	205.8	275.5	Valuation - DCF		1.68	1.0%		
Change in Working Capital		2.7	22.6	17.8	12.6	Valuation		AUD1.68			
Other Operating Cashflow		118.5	(0.2)	(94.0)	6.0						
Gross Operating Cash Flow		**287.1**	**233.3**	**129.6**	**294.1**						
Net interest paid		(28.6)	(29.7)	(42.4)	(48.3)						
Tax Paid		(7.0)	(65.4)	(21.0)	(39.4)						
Net Operating Cash Flows		**251.5**	**138.2**	**66.2**	**206.4**						
Investing Cash Flows											
Purchase of PP&E		(254.7)	(154.5)	(162.4)	(84.4)						
Proceeds from Asset Sales		7.8	0.0	0.0	0.0						
Other Investing Cashflows		203.6	(204.8)	0.0	0.0						
Total Investing CashFlow		**(51.4)**	**(367.1)**	**(171.4)**	**(94.3)**						

Source: Company data, E&P estimates

Tabcorp Holdings Ltd				TAH-ASX	
As at:	20/07/2024			Recommendation:	Positive

Year end	Jun	2023A	2024E	2025E	2026E
INCOME STATEMENT					
Total Operating Income/Revenue		2,434.4	2,291.4	2,528.1	2,562.6
EBITDA		390.8	324.1	455.7	470.6
D&A		(240.5)	(224.4)	(253.9)	(244.9)
EBIT		150.3	99.7	201.8	225.7
Net Interest Expense		(23.8)	(37.3)	(55.9)	(49.3)
PBT		117.8	44.8	135.9	166.4
Tax expense		(31.0)	(12.2)	(39.0)	(50.8)
Share of profits from associates		(2.7)	(6.8)	(6.0)	3.0
NPAT attributable to s'hers		**84.1**	**25.8**	**90.9**	**118.6**
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
BALANCE SHEET					
Assets					
Cash		290.7	295.6	389.9	490.3
Current Receivables		165.8	130.8	144.3	146.3
Other Current Assets		95.3	128.9	128.9	128.9
Total Current Assets		551.8	555.2	663.0	765.5
Property Plant & Equipment		272	192	186	182
Intangibles		1,410.2	1,396.9	1,343.0	1,296.0
Other Non-Current Assets		47.3	44.0	44.0	44.0
Total Non-Current Assets		3,500.6	3,188.8	3,128.6	3,078.2
Total Assets (BS)		4,052.4	3,744.0	3,791.6	3,843.7
Liabilities					
Total Current liabilities		630.1	547.9	550.5	553.3
Long Term Debt		431.9	1,018.7	1,018.7	1,018.7
Total Non-Current Liabilities		763.2	1,215.3	1,215.3	1,215.3
Total Liabilities		1,393	1,763	1,766	1,769
Total Shareholders' Equity		2,659.1	1,980.8	2,025.8	2,075.1
Net Assets		2,659.1	1,980.8	2,025.8	2,075.1
Net Tangible Assets		(485.1)	(937.3)	(838.3)	(742.2)
Book Value		2,659.1	1,980.8	2,025.8	2,075.1
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
OPERATING CASH FLOWS					
EBITDA		391.0	324.1	455.7	470.6
Change in Working Capital		(63.4)	(56.8)	(10.9)	0.9
Other Operating Cashflow		(154.6)	(86.6)	0.0	0.0
Gross Operating Cash Flow		**173.0**	**180.7**	**444.7**	**471.5**
Net interest paid		(23.5)	(38.6)	(65.9)	(59.3)
Tax Paid		(30.2)	65.6	(39.0)	(50.8)
Net Operating Cash Flows		**119.3**	**207.6**	**339.9**	**361.4**
Investing Cash Flows					
Purchase of PP&E		0.0	(27.0)	(63.2)	(64.1)
Proceeds from Asset Sales		41.2	1.2	0.0	0.0
Other Investing Cashflows		59.0	18.1	(6.0)	3.0
Total Investing CashFlow		**(130.0)**	**(734.5)**	**(199.7)**	**(191.6)**

Source: Company data, E&P estimates

Share Price:	AUD0.70

Year end	Jun	2023A	2024E	2025E	2026E
FINANCING CASH FLOWS					
Proceeds from Borrowings		424.9	600.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(2.5)	(1.9)	0.0	0.0
Distributions		(122.9)	(44.7)	(45.9)	(69.3)
Total Financing Cash Flow		**102.0**	**531.8**	**(45.9)**	**(69.3)**
Net Change in Cash		91.3	4.9	94.3	100.5
Free Cashflow		119.3	180.5	276.7	297.3
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
PER SHARE DATA					
EPS - Adjusted (cents)		3.7	1.1	4.0	5.2
DPS (cents)		2.3	2.0	2.0	3.0
Cash Flow Per Share (cents/share)		5.2	7.9	12.1	13.0
Book Value ($/sh)		116.6	86.7	88.7	90.9
NTA Per Share ($/sh)		(21.3)	(41.0)	(36.7)	(32.5)
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
SEGMENTALS					
Wagering & Media revenue		2,230.8	2,119.9	2,366.7	2,397.0
Gaming Services revenue		203.6	171.5	161.4	165.5
Gaming Services EBITDA Margin		308.0	253.3	384.9	398.0
Other EBITDA Margin		83.1	70.8	70.7	72.7
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
ANALYSIS					
EBITDA Margin (%)		16.1	14.1	18.0	18.4
EBIT Margin (%)		6.2	4.4	8.0	8.8
Net Profit Margin (%)		3.5	1.1	3.6	4.6
Capital Employed		2,800.3	2,703.9	2,654.7	2,603.4
Return on Capital Employed (%)		5.5	3.6	7.5	8.6
EBITDA/Capital Employed (%)		14.3	11.8	17.0	17.9
ROE %		**3.1**	**1.1**	**4.5**	**5.8**
Net Debt/Equity (%)		5.3	36.5	31.0	25.5
Net Debt/Net Debt & Equity (%)		5.0	26.7	23.7	20.3
Net Debt/EBITDA (x)		0.4	2.2	1.4	1.1
Net Interest Cover (x)		5.3	1.7	2.5	2.8
GOCF/EBITDA (%)		0.4	0.6	1.0	1.0
Total Capex/Sales (%)		9.5	32.9	7.7	7.6
Working Capital/Sales (%)		(0.2)	(0.2)	(0.1)	(0.1)
D&A/PP&E (%)		88.5	117.0	136.9	134.5
EV/EBITDA (x)		6.8	7.2	4.9	4.5

BLENDED VALUATION		
Valuation - DCF	1.02	1.0%
Valuation	AUD1.02	

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

Research Criteria Definitions

Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

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